Value investing: buy-and-hold results

S&P SmallCap 600, data as of 2026-10-31

Abstract

Each January and July since 2020, a rule-based value score picks 10 S&P SmallCap 600 companies, and 100 USD is invested in them, weighted by score and never sold. Investors who started in 2016, 2020, 2023 and 2025 (an earlier start buys from 2020) are followed to 30 October 2026, each against the same money in the iShares Core S&P Small-Cap fund (IJR), dividends reinvested, net of its 0.05% yearly fee, and in Berkshire Hathaway. The reference is the investor who started in 2020: the data hold only today's index members, and by the index's list of changes, which starts in December 2019, 487 companies have left the index since then against 491 since 2016, so fewer failed companies are missing. That investor's 1,400 USD is worth 2,576 USD, against 2,052 USD in the benchmark and 2,415 USD in Berkshire Hathaway; a second wallet that also sells holdings whose score has fallen is worth 2,504 USD. The report closes with the next picks: Stride, Inc. (LRN), G-III Apparel Group, Ltd. (GIII), Harmony Biosciences Holdings, Inc. (HRMY), Lindsay Corporation (LNN), Innoviva, Inc. (INVA), Boise Cascade (BCC), Alamo Group (ALG), Universal Corporation (UVV), Photronics, Inc. (PLAB) and United States Lime & Minerals, Inc. (USLM). The result rests on few decisions and few companies, with 13% of the value in one company; it is a research result, not evidence of a lasting edge.

1 Method

Company fundamentals are the values first reported in each annual report (10-K) to the SEC, used from the day they were filed. When a company reports an item under more than one label, the label it used most recently by the date is taken, so later filings never decide it (Appendix E). Prices and dividends are from Yahoo Finance; returns include reinvested dividends and are in US dollars. On each date, only companies already in the S&P SmallCap 600 are considered, outside the Financials and Real Estate sectors.

Ten rules from Graham and Buffett grade every company: G6 and G7 (price against earnings and book value), G2a and E1 (current ratio), G2b and E2 (debt), NN (net-net), G5 (earnings growth), B1 (return on equity) and E4 (current dividend). Six more (G3, G4, E3, E5, E6 and NI1) are switched off and can be switched on. The ten are eight concepts, because G2a and E1 (current ratio) and G2b and E2 (debt cover) measure the same thing and so count twice. For each rule, the companies are ranked by the rule's value and placed in equal-sized groups, from the most points for the best group to none for the worst; each rule's points are multiplied by its weight, one less the share of companies that pass the rule's threshold, so rules few companies pass count more. The score is the sum. On the first trading day of January and of July, the 10 highest-scoring companies are bought for 100 USD, each in proportion to its score.

Three limits apply to every number in this report. Companies that left the index are missing from the data, which flatters the results. The score's design and every setting of this report (the rules and their weighting, the number of picks, the decision months, the sell threshold, the start years) were chosen while looking at the whole period from 2009, so no period here is out of sample: the results describe how these rules would have done, not evidence that they will do so. There are no trading costs or taxes.

Neither Benjamin Graham nor Berkshire Hathaway or Warren Buffett has endorsed, reviewed or approved this score or this report. The rules are our reading of Graham's books; the quotations

from Berkshire's published letters to shareholders are cited by year and show where a question was taken, not what any of them would say about these results.

2 Picks per half-year

Table 1: Purchases per half-year and their value today (USD).

Bought	Picks and weights	Wallet	S&P SmallCap 600	Berkshire
2020-01	UVV 11%, GVA 11%, SIG 10%, HZO 10%, CALY 10%, LCII 10%, SCSC 10%, NSIT 10%, NPO 10%, LZB 9%	275	185	238
2020-07	UVV 12%, GVA 12%, SCSC 10%, HZO 10%, IPAR 10%, LZB 9%, RES 9%, TILE 9%, HCC 9%, AIR 9%	364	229	305
2021-01	UVV 12%, HZO 12%, POWL 10%, PLAB 10%, RES 10%, GFF 10%, HCC 9%, SMP 9%, PATK 9%, INVA 9%	397	168	237
2021-07	UVV 12%, HZO 11%, PLAB 10%, SMP 10%, GIII 10%, INVA 10%, BCC 10%, FORM 9%, GFF 9%, NSIT 9%	181	134	194
2022-01	UVV 12%, HZO 11%, GIII 10%, INVA 10%, SMP 10%, WGO 10%, PLAB 10%, BCC 10%, POWL 9%, BHE 9%	269	130	180
2022-07	BCC 12%, HZO 11%, WGO 10%, UVV 10%, SMP 10%, GIII 10%, COHU 9%, ASTE 9%, BHE 9%, SIG 9%	156	161	195
2023-01	BCC 12%, HZO 11%, AOSL 11%, UVV 10%, SMP 10%, GIII 10%, ASTE 9%, WGO 9%, COHU 9%, SIG 9%	134	157	175
2023-07	BCC 12%, HCC 11%, HZO 11%, AOSL 10%, UVV 10%, SMP 9%, BHE 9%, LCII 9%, PLAB 9%, DIOD 9%	133	147	159
2024-01	BCC 12%, AOSL 11%, HCC 10%, UVV 10%, SMP 10%, LNN 10%, WOR 10%, DIOD 9%, BHE 9%, AMR 9%	108	136	150
2024-07	BCC 12%, HCC 11%, AOSL 10%, DIOD 10%, SMP 10%, PLAB 10%, LNN 10%, UVV 10%, WOR 9%, MTUS 9%	109	138	134
2025-01	BCC 12%, HCC 11%, DIOD 10%, PLAB 10%, LNN 10%, AOSL 10%, SMP 10%, UVV 9%, COHU 9%, ANDE 9%	121	125	120
2025-07	BCC 11%, HCC 11%, PLAB 11%, AOSL 10%, UVV 10%, AMR 10%, DIOD 10%, BHE 10%, LNN 9%, WS 9%	128	129	111
2026-01	BCC 12%, LRN 11%, HCC 10%, IPAR 10%, DIOD 10%, PLAB 10%, UVV 10%, LNN 10%, ALG 9%, CNR 9%	107	117	109
2026-07	HRMY 11%, LRN 11%, GIII 10%, INVA 10%, BCC 10%, ALG 10%, LNN 10%, IPAR 10%, UVV 9%, PLAB 9%	94	95	109

Table 1 lists the companies bought each January and July, with their weights, and what each 100 USD is worth on 30 October 2026, next to the same money in the S&P SmallCap 600 and in Berkshire Hathaway. Figure 1 shows the same values. Most of the money went to Consumer Discretionary, Information Technology and Industrials; the best single purchase is POWL in January 2021, now worth 18 times its cost. The purchases of July 2022, January 2023, July 2023, January 2024, July 2024, January 2025, July 2025, January 2026 and July 2026 are worth less today than the same money in the S&P SmallCap 600. Appendix A lists every purchase of the wallet with sells of the investor who started in 2020, with its price at purchase and today, what later sales took from it, what it keeps today and its total return with dividends.

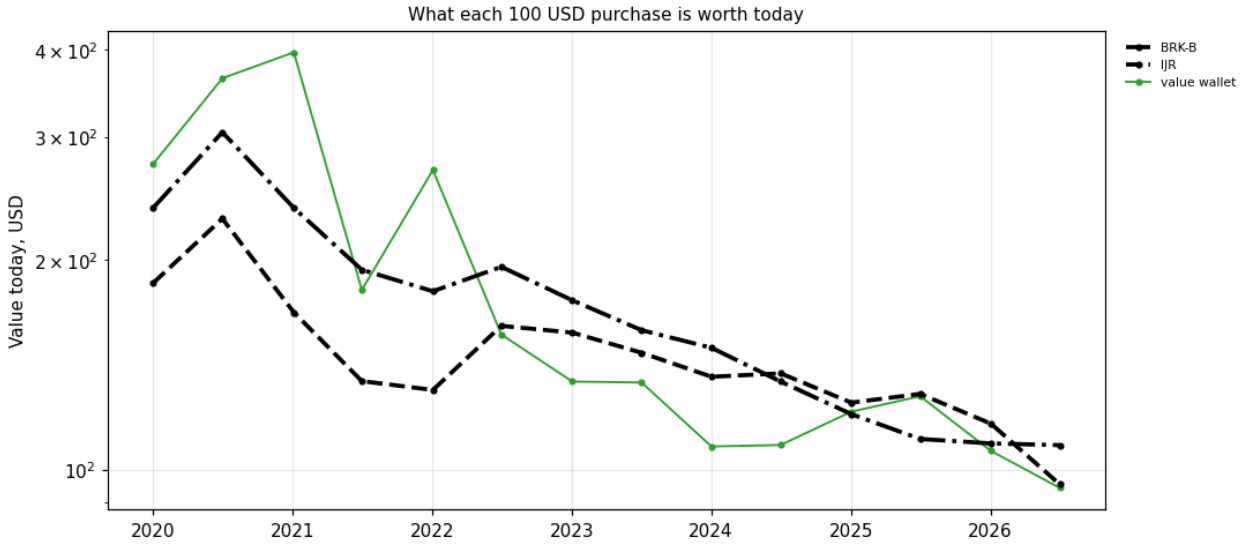


Figure 1: What each purchase is worth today, by date of purchase, on a logarithmic scale.

3 Value over time

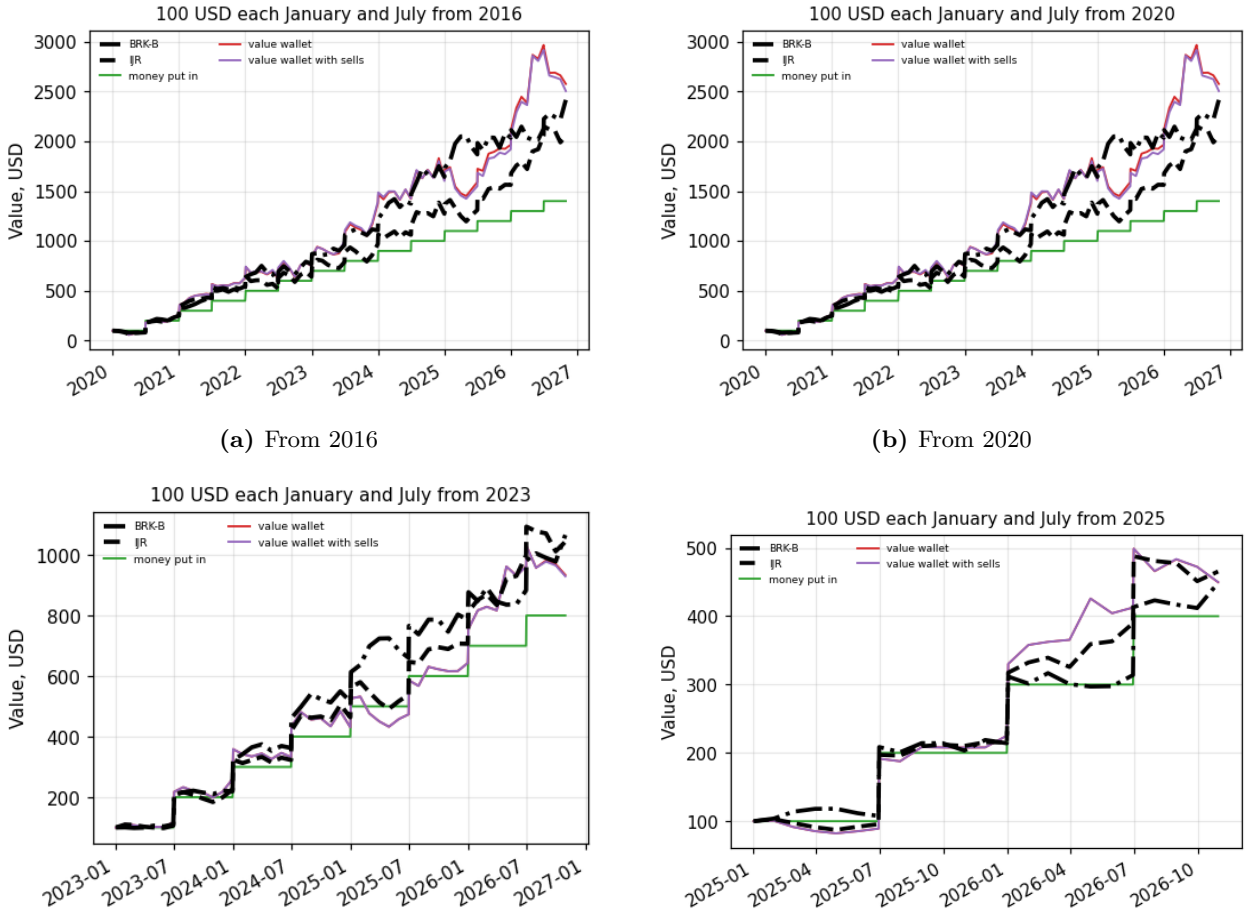
Table 2: Money put in and value today per start year (USD), and the money-weighted return a year.

Start	Holder	Put in	Value	Multiple	A year
2016	Value wallet	1,400	2,576	1.84	17.0%
	Value wallet with sells	1,400	2,504	1.79	16.2%
	S&P SmallCap 600	1,400	2,052	1.47	10.6%
	Berkshire Hathaway	1,400	2,415	1.73	15.2%
2020	Value wallet	1,400	2,576	1.84	17.0%
	Value wallet with sells	1,400	2,504	1.79	16.2%
	S&P SmallCap 600	1,400	2,052	1.47	10.6%
	Berkshire Hathaway	1,400	2,415	1.73	15.2%
2023	Value wallet	800	934	1.17	7.5%
	Value wallet with sells	800	930	1.16	7.3%
	S&P SmallCap 600	800	1,044	1.30	13.1%
	Berkshire Hathaway	800	1,066	1.33	14.2%
2025	Value wallet	400	450	1.12	11.3%
	Value wallet with sells	400	450	1.12	11.3%
	S&P SmallCap 600	400	465	1.16	14.8%
	Berkshire Hathaway	400	449	1.12	11.1%

Table 2 and Figure 2 follow the four investors. Each puts in 100 USD every January and July from the start year; the value wallet never sells. The return a year is money-weighted: the constant yearly rate that turns the payments into today's value.

The investor who started in 2016 earns 17.0% a year against 10.6% in the S&P SmallCap 600 and 15.2% in Berkshire Hathaway. From 2020 the rates are 17.0%, 10.6% and 15.2%; from 2023 7.5%, 13.1% and 14.2%; from 2025, over less than two years, 11.3%, 14.8% and 11.1%. The wallet's value swings more than either comparison, because 10 companies of a few industries are far less diversified than the index or Berkshire.

The value wallet with sells buys the same picks with the same money, but at each decision it also sells part of any holding whose score has fallen; Section 4 describes the rule. From 2016 it is worth 2,504 USD (16.2% a year), from 2020 2,504 USD (16.2%) and from 2025 450 USD (11.3%).



(a) From 2016

(b) From 2020

(c) From 2023

(d) From 2025

Figure 2: Value of 100 USD every January and July from each start year, in USD, next to the money put in; the S&P SmallCap 600 dashed and Berkshire Hathaway dash-dot.

4 Selling below the threshold

Each January and July, before buying, the wallet with sells checks every company it holds. The score is put on a scale from 0 to 1, the share of the most the company could score on the rules it is measured on. A holding scoring 0.4 or less is sold in part: the share sold is (0.4 less the score) divided by 0.4, so all of it at a score of 0 and almost none just under 0.4. Holdings are sold, never sold short. The proceeds are added to the decision's 100 USD and buy its picks.

4.1 Sold in the wallet

Table 3: Sales of the investor who started in 2020: share of each holding sold, its score on the 0-to-1 scale, and the proceeds.

Year	Sold: share of the holding (score)	Proceeds, USD
2020-07	SIG 4% (score 0.38), CALY 38% (score 0.25)	3.43
2021-01	SIG 10% (score 0.36), CALY 37% (score 0.25), SCSC 10% (score 0.36)	6.11
2021-07	GVA 37% (score 0.25), SIG 29% (score 0.28), CALY 50% (score 0.20), SCSC 5% (score 0.38), RES 14% (score 0.35), TILE 12% (score 0.35)	39.15
2022-01	GVA 36% (score 0.26), SIG 20% (score 0.32), CALY 49% (score 0.21), SCSC 5% (score 0.38), RES 1% (score 0.40), TILE 12% (score 0.35)	20.64
2022-07	CALY 59% (score 0.17), SCSC 1% (score 0.40), RES 18% (score 0.33)	7.25
2023-01	CALY 47% (score 0.21), RES 4% (score 0.39), GFF 40% (score 0.24)	17.32
2023-07	GVA 7% (score 0.37), CALY 47% (score 0.21), TILE 25% (score 0.30), GFF 31% (score 0.28)	12.64
2024-01	GVA 12% (score 0.35), CALY 35% (score 0.26), TILE 25% (score 0.30), GFF 18% (score 0.33)	10.14
2024-07	GVA 33% (score 0.27), NPO 1% (score 0.40), POWL 3% (score 0.39), GFF 33% (score 0.27)	20.15
2025-01	GVA 38% (score 0.25), NPO 1% (score 0.40), GFF 33% (score 0.27)	14.98
2025-07	GVA 33% (score 0.27), CALY 57% (score 0.17), NPO 21% (score 0.32), GFF 21% (score 0.32)	13.55
2026-01	GVA 39% (score 0.24), HZO 16% (score 0.33), CALY 57% (score 0.17), NPO 21% (score 0.32), AIR 15% (score 0.34), GFF 14% (score 0.35)	29.11
2026-07	GVA 46% (score 0.21), HZO 15% (score 0.34), CALY 16% (score 0.33), NPO 48% (score 0.21), AIR 20% (score 0.32), POWL 5% (score 0.38), GFF 15% (score 0.34), PATK 4% (score 0.38), COHU 5% (score 0.38)	84.66

Table 3 lists the 57 sales of the investor who started in 2020, worth 279 USD in all. They are the wallet's own cash flows.

5 Wallet contents

Figure 3 follows every company in the wallet with sells of the investor who started in 2020, month by month. A line starts or steps up when the company is bought, steps down when part of it is sold, and rises or falls with the price in between. The dashed lines follow the same money in the S&P SmallCap 600 and in Berkshire Hathaway, divided by the number of companies the wallet holds on the date, so they show what one holding would be worth in the index or in Berkshire. Appendix C gives each holding's value after every January's trades, the money put in and the proceeds of sales.

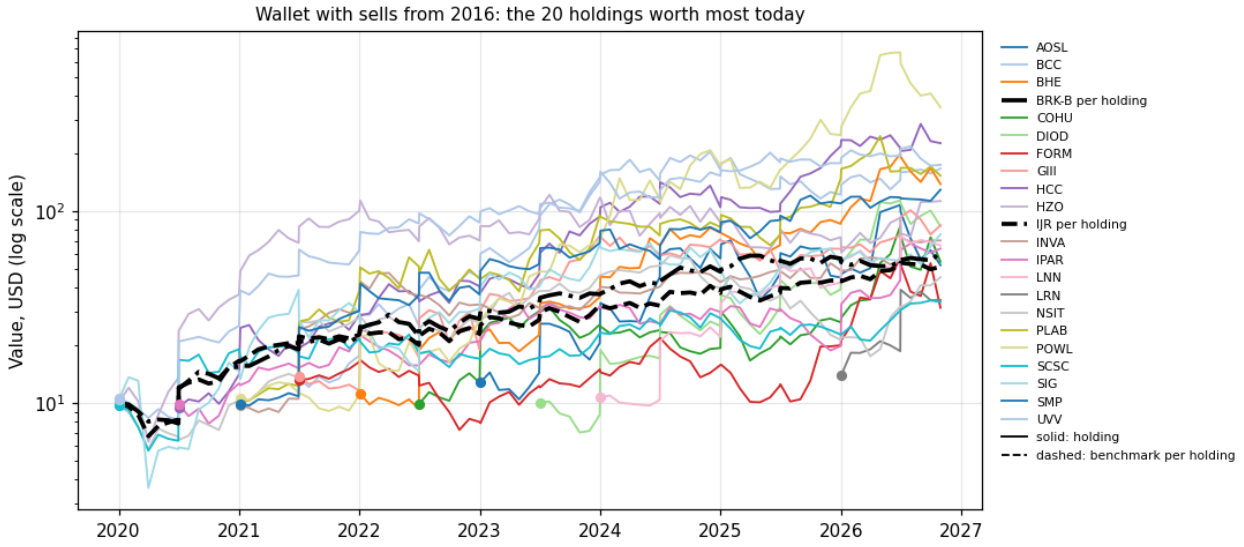


Figure 3: Value of each holding in the wallet with sells (solid) and of the S&P SmallCap 600 and Berkshire Hathaway divided by the number of holdings (dashed), in USD on a logarithmic scale.

6 Rules behind the winners

Table 4: Dollars ahead of the same money in the S&P SmallCap 600, per pick: total, average and median of the picks that beat the index and of those that lagged it.

Picks	Number	USD ahead, total	Average	Median
Beat the S&P SmallCap 600	62	+858	+13.8	+3.9
Lagged the S&P SmallCap 600	78	-334	-4.3	-3.8
All picks	140	+524	+3.7	-0.9

Of the picks, 62 have done better than the S&P SmallCap 600 since their purchase and 78 have not, but a count treats a large win and a small loss alike. Table 4 weighs them in dollars: each pick's value today less what the same money would be worth in the S&P SmallCap 600. The winners are 858 USD ahead of the index and the laggards 334 USD behind, a net 524 USD, the wallet's whole lead over the index. The median winner is 4 USD ahead and the median laggard 4 USD behind; the average win is 3.2 times the average loss. The wins are concentrated: the 5 largest, POWL Jan 2021, POWL Jan 2022, GVA Jul 2020, SIG Jan 2020 and GFF Jan 2021, make up 53% of the winners' total.

Figure 4 compares the mean points per rule of the winners and of the laggards on the day they were picked, each pick weighted by its dollars ahead or behind the index, so the large wins and losses count most; the rules are ordered by how much more the winners scored. The winners scored most above the others on current dividend (E4), net-net (NN), P/E times P/B (G7) and debt to working capital (G2b); the picks that lagged scored higher on P/E (G6) and 6-year earnings growth (G5). With so few picks, these differences describe this sample; they do not establish which rules work. Appendix F explains each rule, and Appendix D tests whether the rule weights favour the rules that told winners from losers.

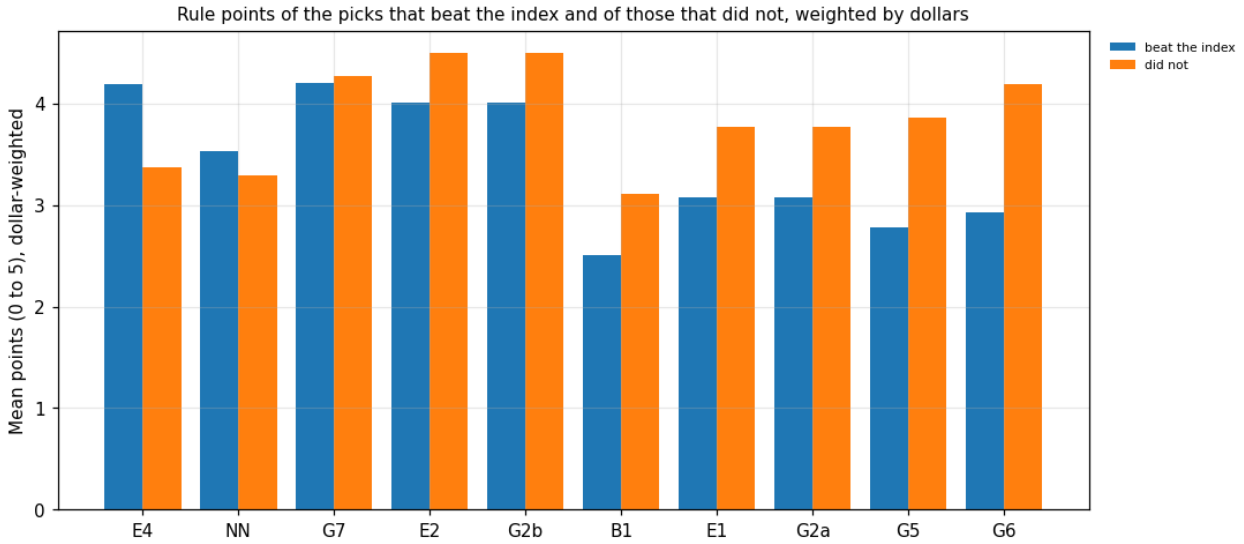


Figure 4: Mean points per rule of the picks that beat the S&P SmallCap 600 since purchase and of those that did not, each pick weighted by its dollars ahead or behind the index.

7 Price history of the picks

Figure 5 shows the share price of every company the investor who started in 2023 bought or sold, and of the next picks, over the last 5 years. The price is split-adjusted and excludes dividends, as a price chart shows it; the companies run from the best to the worst price change over the 5 years, given beside each name; when they do not fit on one page, only the 6 best and the 6 worst are shown. Each purchase is marked in green and each sale in red, at the price on the decision date; a larger marker means more money. Figure 6 gives the same trades in USD per company and decision date.

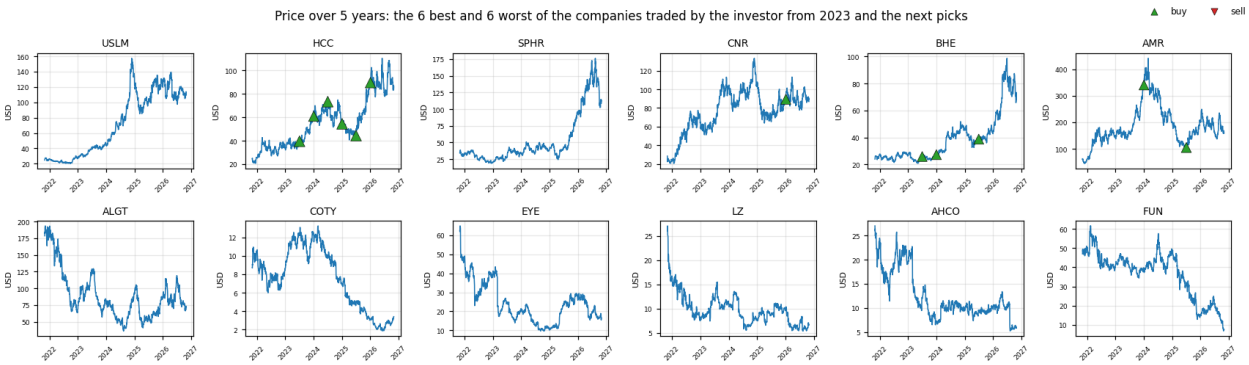


Figure 5: Share price (USD, split-adjusted, dividends excluded) over the last 5 years, one panel per company, ordered from the best to the worst price change over the period; purchases (green) and sales (red) of the investor who started in 2023, marker area in proportion to the USD traded.

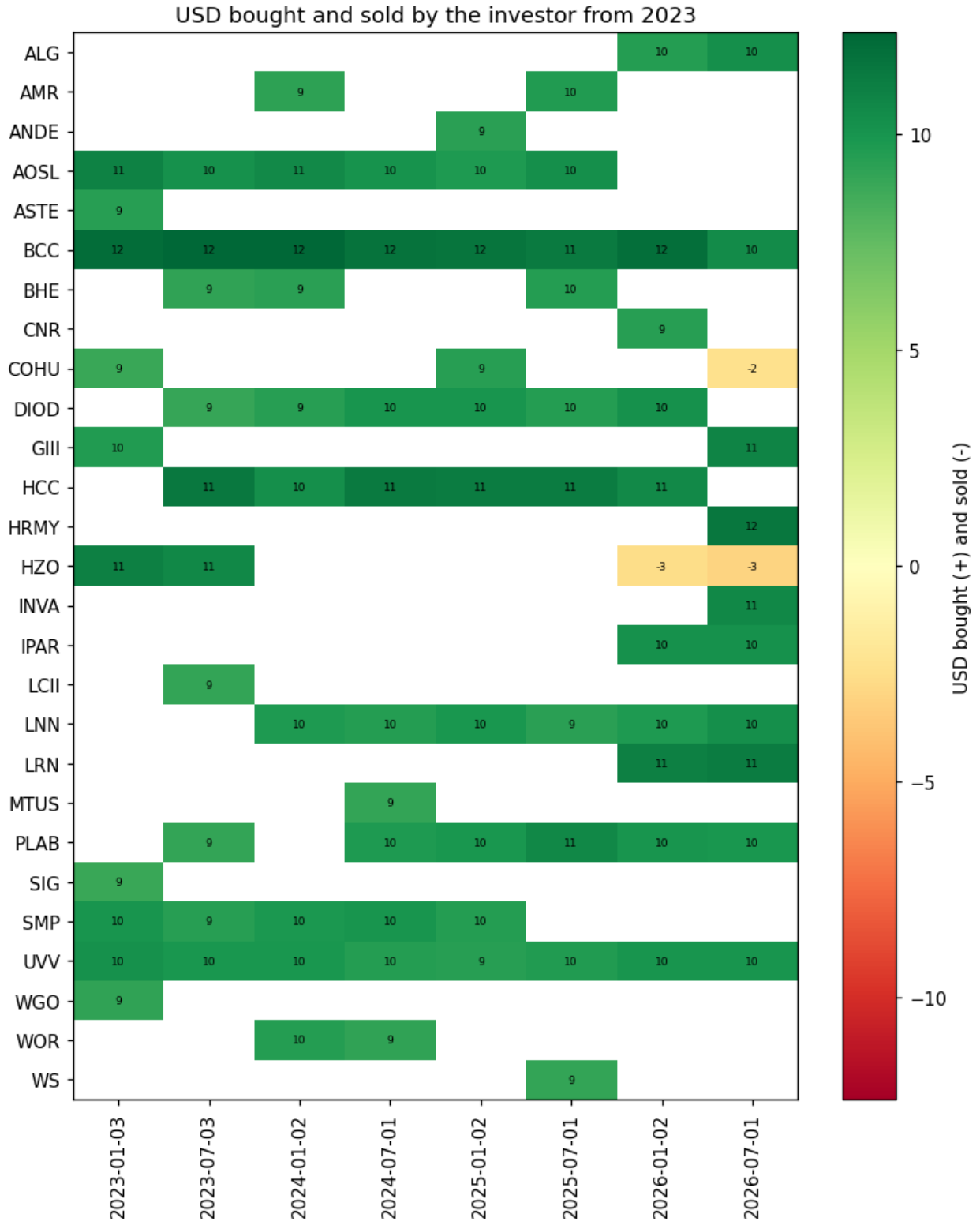


Figure 6: USD bought (green, positive) and sold (red, negative) by the investor who started in 2023, per company and decision date.

8 The next picks

Table 5: The next picks on the latest score date: score, score on the 0-to-1 scale, weight and USD of each 100 USD.

Company	Sector	Score	Score 0 to 1	Weight	USD
Stride, Inc. (LRN)	Discretionary	30.6	0.89	10.9%	10.95
G-III Apparel Group, Ltd. (GIII)	Discretionary	29.3	0.85	10.5%	10.46
Harmony Biosciences Holdings, Inc. (HRMY)	Health care	28.9	0.85	10.3%	10.35
Lindsay Corporation (LNN)	Materials	28.9	0.84	10.3%	10.33
Innoviva, Inc. (INVA)	Health care	28.0	0.82	10.0%	10.01
Boise Cascade (BCC)	Industrials	28.0	0.82	10.0%	10.00
Alamo Group (ALG)	Industrials	27.4	0.80	9.8%	9.79
Universal Corporation (UVV)	Staples	26.3	0.77	9.4%	9.41
Photronics, Inc. (PLAB)	Technology	26.3	0.77	9.4%	9.41
United States Lime & Minerals, Inc. (USLM)	Materials	26.0	0.76	9.3%	9.30

On the latest score date, 18 September 2026, the 10 highest-scoring companies are Stride, Inc. (LRN), G-III Apparel Group, Ltd. (GIII), Harmony Biosciences Holdings, Inc. (HRMY), Lindsay Corporation (LNN), Innoviva, Inc. (INVA), Boise Cascade (BCC), Alamo Group (ALG), Universal Corporation (UVV), Photronics, Inc. (PLAB) and United States Lime & Minerals, Inc. (USLM) (Table 5). Each would receive its share of the next decision's 100 USD and of any proceeds from sales. The decision is taken on the first trading day of January with the scores known then, which include the annual reports filed until that day; these picks are a preview and may change. Figure 7 shows each pick's share price over the last 5 years, with the earlier purchases of the investor who started in 2023 and the potential purchase at today's price.



Figure 7: Share price of each next pick (USD, split-adjusted, dividends excluded) over the last 5 years: earlier purchases of the investor who started in 2023 in green, the potential purchase at the latest price in orange.

9 Winning picks we missed

Table 6: Winners over the next 36 months that the score missed, by index: the share of winners held (by chance), their mean score and examples with their score on a scale from 0 to 1.

Index	Winners held (by chance)	Winners' mean score	Missed winners and their score
S&P 500	10% (4%)	0.55	Amazon 0.08, Netflix 0.23, Constellation Brands 0.32, Adobe 0.48
S&P 400	5% (9%)	0.42	Paylocity 0.03, Repligen 0.16, Tenet 0.17, Qualys 0.20, Chemed 0.34
S&P 600	9% (5%)	0.51	Archrock 0.14, Brinker 0.16, SM Energy 0.19

No score picks every winner, and a winner is only known afterwards. Here the winners are the ten companies with the highest return above their index over the next 36 months, found with hindsight on every date. A book of ten companies that knew nothing would hold about 4% of them on the S&P 500, 9% on the S&P 400 and 5% on the S&P 600 (Table 6). They are shown as a check on the rules, not as advice.

On the S&P 500 the score holds 10% of the winners and ranks them slightly above the median (0.55 on a scale from 0 to 1). It found the chip makers (Nvidia 0.91, Lam Research 0.96, Micron 0.91) and missed the growth platforms: Amazon 0.08, Netflix 0.23 and Constellation Brands 0.32. On the S&P 400 the winners score below the median (0.42): Paylocity 0.03, Repligen 0.16, Tenet 0.17 and Qualys 0.20. Health care is 17% of the winners there and 3% of our picks. On the S&P 600 energy companies are 24% of the winners and 2% of our picks.

A possible cause is in the rules. They are Graham's and Buffett's, and they reward cheap, low-debt, asset-rich companies. Many winners of the period were growth and quality companies that pay no dividend and trade at higher multiples. On the S&P 400 they score 0.7 points lower than the average company on the dividend rule and 0.4 lower on debt cover, while our picks score 4.4 on debt cover against 2.1 for the average company. On the earlier sixteen-rule score, dropping the dividend rules made no measurable difference on the S&P 500 and the S&P 400, so they are not what holds the score back there; on the S&P 600 the bands excluded zero (+0.72 and -0.93). The price rules are one more possible cause: dropping them raised the best ten on the S&P 500, but that held on the S&P 500 only, showed nothing on the S&P 400 and was contradicted on the S&P 600, so it was not adopted (Section 12). Companies that S&P later added to the S&P 500 scored lower than its existing members before they joined (0.42 against 0.51 on a scale from 0 to 1), which fits the hypothesis that the score undervalues growth; it is a hypothesis, not a tested result.

10 Lowest scores in the index

Table 7: The 10 lowest-scoring of the companies scored on the latest score date: sector, score, score on the 0-to-1 scale and colour (Green, Amber or Red; not a recommendation).

Company	Sector	Score	Score 0 to 1	Colour
Six Flags (FUN)	Consumer Discretionary	0.5	0.02	Red
LegalZoom.com, Inc. (LZ)	Industrials	0.5	0.02	Red
Q2 Holdings, Inc. (QTWO)	Information Technology	0.5	0.02	Red
Sonos, Inc. (SONO)	Consumer Discretionary	1.4	0.06	Red
Sphere Entertainment (SPHR)	Communication Services	1.4	0.10	Red
AdaptHealth Corp. (AHCO)	Health Care	1.4	0.04	Red
Allegiant Travel Company (ALGT)	Industrials	1.4	0.04	Red
Coty (COTY)	Consumer Staples	1.4	0.04	Red
National Vision Holdings (EYE)	Consumer Discretionary	1.4	0.04	Red
Fortrea (FTRE)	Health Care	1.4	0.05	Red

These are the 10 lowest scores, as many as the picks, among the companies of the S&P SmallCap 600 that are scored on 18 September 2026, whether or not anyone holds them: Six Flags (FUN), LegalZoom.com, Inc. (LZ), Q2 Holdings, Inc. (QTWO), Sonos, Inc. (SONO), Sphere Entertainment (SPHR), AdaptHealth Corp. (AHCO), Allegiant Travel Company (ALGT), Coty (COTY), National Vision Holdings (EYE) and Fortrea (FTRE) (Table 7, prices in Figure 8). Financials, Real Estate and companies with too few rules to score are not scored and so cannot appear. Companies with the same score are ordered by symbol, so when several share the last place, the alphabetically first are shown. The list shows where the score ranks these companies today; it is not a recommendation to buy, sell or sell short anything. A score of 0 means only that no rule awarded the company any points; it says nothing about what the company is worth.

The last column colours each score on the 0-to-1 scale against the sell threshold of 0.4. Green is a score above 0.4. Amber is a score from 0.2 up to and including 0.4: a company one would not buy, and would hold only if already owned. Red is a score below 0.2: a company one might start to think about selling. The colours are not the rule of the wallet with sells. That rule is mechanical: at or below 0.4 it sells part of a holding, the more the lower the score, and at 0 all of it, whatever the colour. The sell signal on these companies has not been tested: no test has measured what the lowest scores did afterwards. The cut-offs are those the score uses today and are not fixed. The wallet never sells short; a short position on these companies is a later step and has not been tested.

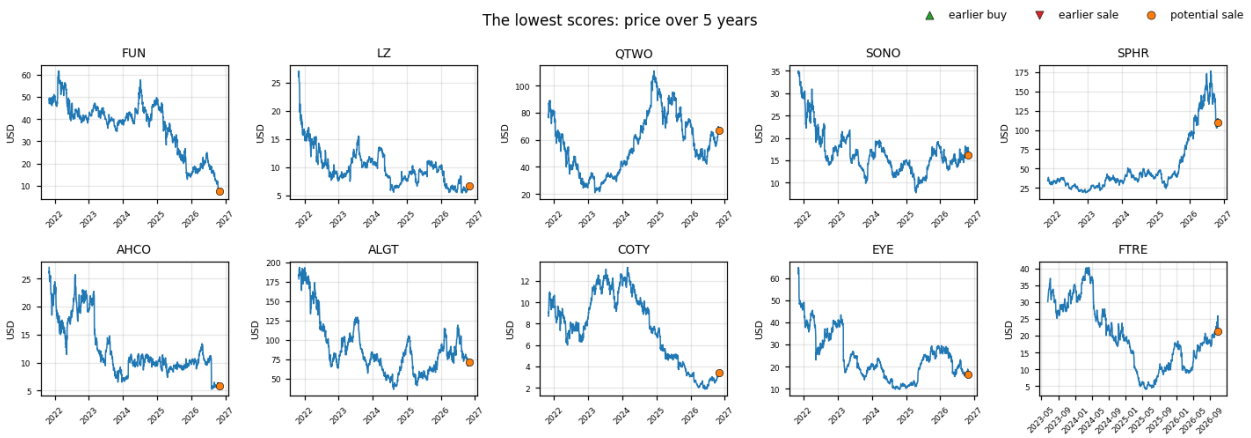


Figure 8: Share price of each of the 10 lowest scores (USD, split-adjusted, dividends excluded) over the last 5 years: earlier purchases of the investor who started in 2023 in green, earlier sales in red, the potential sale at the latest price in orange.

11 How the model was tested

Table 8: The tests the model must pass before launch, and where each stands.

Test	What is checked	Result	Status
Winners removed	The wallet still beats its index with the 3 largest winners removed	Computed with each report: Table 9	Read from the table; in-sample
Company samples	Repeated samples, each leaving out a random part of the companies	S&P 500: ahead of the index in every sample (the samples share most of their companies)	Passed on the S&P 500, in-sample
Unseen companies	The score frozen, then run once on a part of the companies never used	Positive, but two companies gave 99% of the gain (earlier sixteen-rule score)	To rerun
Other indices	The score beats random picks of its own index on the S&P 400 and 600	Not reproduced	Open
Two periods	The edge appears before and after 2017	Yes on the S&P 500 (earlier sixteen-rule score)	To rerun
Missed winners	Which winners the score missed, and why	Section 9	Done
Survivorship	The effect of companies that left the index	Not yet measured	Open
Real-world check	Results compared with market events and institutional logic	Not yet done	Open

This is a prototype, "first light": the first version of the model that is frozen and dated, with nothing earlier to compare it with. The figures below are in-sample stress and sampling diagnostics, compared with the index and not with random books of the same size, on a configuration that was chosen on this data after more than 100 designs were tried. The bands cover the sampling of companies only: they do not allow for the number of designs tried (multiple testing) or for the period, which the designs were chosen while looking at, so no result here is out of sample. The one held-out test, on companies the score never used, is on the earlier sixteen-rule score and is marked to rerun. The tests follow a written protocol, and a test that failed is shown as failed. The model has not cleared them: the tests below are open or failed in part. The numbers are from runs on 1

November 2026 on the ten default rules, with data as of 31 October 2026.

On the S&P 500 the picks beat the index in every one of a set of repeated samples that each left out a random part of the companies (the samples share most of their companies, so this is not independent confirmation), by 9 to 15 points a year on average depending on the start year, and by about 5 points in the worst sample. The investor who started in 2020 earns 27.7% a year against 15.9% in the index. The gain is concentrated: Micron makes up 24% and Lam Research 16% of the 2016 investor's gain. Table 9, computed with this report, runs the wallet again with the largest winners removed as if they had never existed. The edge is present in this sample of the index but shrinks as they are removed, and it is concentrated in chip and materials companies that did well in a long bull market after 2009.

The other two indices do not confirm it as strongly: their own reports carry the same table, and it is the one to read for them. The lists of the S&P 400 and 600 give no entry dates and lose the companies that grew into a larger index, so these two tests are biased and not yet a verdict on the rules. Companies that left the index are missing from every test, which flatters the results.

11.1 Without the biggest winners

Table 9: Money-weighted return a year of the wallet above the S&P SmallCap 600, in percentage points, by start year, as it is and with the largest winners removed from the ranking (computed with this report).

Start	As it is	Without 1	Without 3	Without 5
2016	+6.3	+2.9	+0.3	-0.9
2020	+6.3	+2.9	+0.3	-0.9
2023	-5.6	-5.6	-7.2	-6.8
2025	-3.5	-3.5	-4.1	-4.1

A few companies carry much of any wallet's gain, and the next quarter may offer fewer. To see how the result would stand without them, the wallet was run again with the largest winners removed as if they had never been in the index: the companies that put the most dollars ahead of the S&P SmallCap 600 over all purchases. In order, the largest first, they are Powell Industries, Inc. (POWL), Granite Construction, Inc. (GVA), Warrior Met Coal, Inc. (HCC), Griffon Corporation (GFF) and Signet Jewelers (SIG); each column removes the first of them that its heading counts. The picks are ranked again without them, so the next-best companies fill the book on the same dates with the same money (Table 9). The scores of the remaining companies are not recomputed, and the winners were found with hindsight, so the table shows how dependent the result is on them, not what would have been picked. A column close to the first one means the gain does not rest on those companies; a column far below it means it does.

12 Midas and the Investor

Every result in this report was questioned before it was believed. When something looked wrong, too good, different between indices or against what a long-term investor would say, Midas, who reads the numbers, put the question to the Investor. The Investor answers only from Berkshire Hathaway's published letters to shareholders and names the year; the quotations imply no endorsement by Berkshire or Mr Buffett. Midas then tested the answer and reported back. Three of the exchanges follow. The figures in them are in-sample stress and sampling diagnostics, compared with the index and not with random books, on a configuration chosen on this data (Section 11).

Is the dividend rule holding the score back?

Midas: The winners we missed mostly pay no dividend, and they score low on the dividend rules. Should we drop them?

The Investor: (1984) "Berkshire has earned well over market rates on retained earnings, thereby creating over one dollar of market value for every dollar retained. Under such circumstances, any distribution would have been contrary to the financial interest of shareholders, large or small."

Midas: I dropped the two dividend rules from the sixteen-rule score and compared. On the S&P 500 the best ten changed by -0.03 points a year, with a 99% band from -1.05 to +0.41; on the S&P 400 by -0.26. There is no measurable difference on those two indices; on the S&P 600 the bands excluded zero (+0.72 and -0.93). The default now keeps only one dividend rule, the current dividend, and the other is a switch.

Should a cheap price be the test of value?

Midas: Dropping the P/E and price-to-book rules raised the best ten on the S&P 500 but lowered the broad ranking, and the missed winners were growth companies. That held on the S&P 500 only, and I did not adopt it.

The Investor: (1992) "Growth is always a component in the calculation of value." A low ratio of price to book value, a low price-earnings ratio or a high dividend yield are "far from determinative as to whether an investor is indeed buying something for what it is worth", and the opposite characteristics "are in no way inconsistent with a 'value' purchase". Yet "business growth, per se, tells us little about value". (2013, Graham's adage, which Buffett quotes as "Ben's adage") "Price is what you pay, value is what you get."

Midas: I tested a price-to-earnings-growth measure. On all three indices it widened the broad ranking a little and left the best ten slightly lower, within the noise. Used only for companies that pass the quality rule, return on equity, both rose on the S&P 500 and the S&P 400, by 0.3 to 1 point a year. That is small and adds complexity, so it is a switch and not the default.

Is it too good to be true?

Midas: The picks beat the index in every one of a set of repeated samples that each left out a random part of the companies. The samples share most of their companies, so that is not independent confirmation, and it still looks too good, so I removed the biggest winners as if they had never existed.

The Investor: (1987) "When shortages exist, however, even commodity businesses flourish", and "whenever shortages appear, the typical manager simply can't wait to expand capacity". (1989) "Time is the friend of the wonderful business, the enemy of the mediocre."

Midas: The 1987 passage is about insurance; I apply it to chip makers by analogy. Table 9 holds the result, computed with this report: the wallet still beats the index without its largest winners, but by much less. The edge is present in this sample but thin, and it sits in chip and materials companies after 2009. Treat it with care.

What the tests showed. The results are for holding over years, not months: the picks are bought twice a year and not sold. The concentration is the main risk, and one or two big winners carry much of the gain, so they are treated as luck until tested the same way. The book holds ten companies, not five: ten was chosen for plausibility and diversification, although the five-company book scored higher in the tests. The tests cover the default ten rules; other switches were not tested as a set. This is what the tests showed, not advice; read the tests in Section 11 before relying on a number.

13 Where to read more

Table 10: Strategy literature by risk profile.

Profile	Idea	Reading
Defensive	Preserve capital; diversified, cheap, boring; index funds	Graham, The Intelligent Investor (the defensive investor); Bogle, The Little Book of Common Sense Investing
Core	A wonderful company at a fair price, held for years	The Berkshire Hathaway shareholder letters; Dorsey, The Little Book That Builds Wealth
Value with a margin of safety	Buy at a deep discount to value	Graham (the enterprising investor); Klarman, Margin of Safety
Quality growth	Growth at a reasonable price, good management	Fisher, Common Stocks and Uncommon Profits; Lynch, One Up on Wall Street
Systematic value	Rules, ranked	Greenblatt, The Little Book That Beats the Market; Piotroski (2000), the F-score; Novy-Marx (2013), gross profitability
Risk awareness	Cycles and what can go wrong	Marks, The Most Important Thing; Lakonishok, Shleifer and Vishny (1994), contrarian investment

Planned, and not yet available: a member will be able to bring the strategy literature they like and ask for answers drawn from those pages, with the source named. The Berkshire Hathaway letters are free to read on the company's site. Books are copyrighted: use your own copy. The list below is grouped by the kind of risk each approach accepts. It is a starting point only: the titles are given from general knowledge and have not been checked against the books, so check each one before relying on it.

14 Conclusions

In this sample, the value picks bought twice a year and held are worth more today than the same money in the S&P SmallCap 600 or in Berkshire Hathaway for each of the four start years. That describes the past under rules and settings chosen while looking at it; it is not a test of the strategy. The lead is uneven: the 2 purchases of Powell Industries, Inc. (POWL) make up 13% of the 2020 investor's value, and the purchases of July 2022, January 2023, July 2023, January 2024, July 2024, January 2025, July 2025, January 2026 and July 2026 trail the index.

Before the strategy is used, three steps are needed: the companies that left the index must be added to the data, the score must be tested on more decisions (each quarter instead of each year), and trading costs and taxes must be included.

A Every purchase

Table 11: Every purchase of the wallet with sells of the investor who started in 2020: weight in the decision's purchase, USD invested (the decision's 100 USD and the proceeds of sales), split-adjusted price at purchase and today, USD sold from it later, USD it keeps today and its total return with dividends, (sold + kept) / invested - 1.

Year	Company	Sector	Weight	In	Bought at	Now	Sold	Kept	Return
2020-01	UVV	Staples	11%	11	56.88	41.44		12	+12%
2020-01	GVA	Industrials	11%	11	27.59	123.62	22	2	+123%
2020-01	SIG	Discretionary	10%	10	18.93	117.59	20	34	+411%
2020-01	HZO	Discretionary	10%	10	16.80	52.76	5	23	+173%
2020-01	CALY	Discretionary	10%	10	21.36	15.16	11	0	+9%
2020-01	LCII	Discretionary	10%	10	107.63	98.98		11	+16%
2020-01	SCSC	Technology	10%	10	36.78	57.71	1	12	+42%
2020-01	NSIT	Industrials	10%	10	71.29	172.74		23	+142%
2020-01	NPO	Industrials	10%	10	67.72	271.53	28	13	+328%
2020-01	LZB	Discretionary	9%	9	31.04	30.44		11	+13%
2020-07	UVV	Staples	12%	13	41.90	41.44		19	+48%
2020-07	GVA	Industrials	12%	12	17.94	123.62	38	3	+238%
2020-07	SCSC	Technology	10%	11	23.20	57.71	3	21	+125%
2020-07	HZO	Discretionary	10%	10	22.68	52.76	4	17	+102%
2020-07	IPAR	Staples	10%	10	47.16	116.37		28	+182%
2020-07	LZB	Discretionary	9%	10	27.14	30.44		13	+29%
2020-07	RES	Energy	9%	10	2.95	6.17	7	15	+125%
2020-07	TILE	Industrials	9%	10	7.49	36.81	9	21	+215%
2020-07	HCC	Materials	9%	10	14.53	85.97		63	+564%
2020-07	AIR	Industrials	9%	9	21.01	100.26	16	31	+401%
2021-01	UVV	Staples	12%	13	48.82	41.44		16	+22%
2021-01	HZO	Discretionary	12%	12	34.74	52.76	3	13	+32%
2021-01	POWL	Industrials	10%	11	9.83	156.26	18	172	+1687%
2021-01	PLAB	Technology	10%	10	10.97	27.58		26	+151%
2021-01	RES	Energy	10%	10	3.40	6.17	6	14	+96%
2021-01	GFF	Industrials	10%	10	20.36	101.09	26	6	+207%
2021-01	HCC	Materials	9%	10	22.24	85.97		43	+331%
2021-01	SMP	Discretionary	9%	10	40.11	42.41		12	+26%
2021-01	PATK	Discretionary	9%	10	46.27	77.68	1	18	+88%
2021-01	INVA	Health care	9%	10	12.48	21.22		17	+70%
2021-07	UVV	Staples	12%	17	57.25	41.44		17	+2%
2021-07	HZO	Discretionary	11%	15	48.76	52.76	3	11	-6%
2021-07	PLAB	Technology	10%	14	13.04	27.58		31	+112%
2021-07	SMP	Discretionary	10%	14	43.81	42.41		16	+14%
2021-07	GIII	Discretionary	10%	14	32.61	30.28		13	-6%
2021-07	INVA	Health care	10%	13	13.70	21.22		21	+55%
2021-07	BCC	Industrials	10%	13	58.60	78.83		24	+79%
2021-07	FORM	Technology	9%	13	36.75	87.53		31	+138%
2021-07	GFF	Industrials	9%	13	25.86	101.09	26	6	+140%
2021-07	NSIT	Industrials	9%	13	101.26	172.74		22	+71%
2022-01	UVV	Staples	12%	14	56.14	41.44		14	+1%
2022-01	HZO	Discretionary	11%	13	58.86	52.76	2	8	-22%
2022-01	GIII	Discretionary	10%	12	28.27	30.28		13	+9%
2022-01	INVA	Health care	10%	12	17.45	21.22		15	+22%
2022-01	SMP	Discretionary	10%	12	52.39	42.41		11	-6%
2022-01	WGO	Discretionary	10%	12	75.64	30.61		5	-54%
2022-01	PLAB	Technology	10%	12	19.28	27.58		17	+43%
2022-01	BCC	Industrials	10%	11	70.98	78.83		16	+36%
2022-01	POWL	Industrials	9%	11	9.92	156.26	19	175	+1610%
2022-01	BHE	Technology	9%	11	27.46	68.37		31	+174%
2022-07	BCC	Industrials	12%	13	60.58	78.83		20	+55%

Table 11: Every purchase of the wallet with sells of the investor who started in 2020: weight in the decision's purchase, USD invested (the decision's 100 USD and the proceeds of sales), split-adjusted price at purchase and today, USD sold from it later, USD it keeps today and its total return with dividends, (sold + kept) / invested - 1.

Year	Company	Sector	Weight	In	Bought at	Now	Sold	Kept	Return
2022-07	HZO	Discretionary	11%	12	36.83	52.76	3	12	+25%
2022-07	WGO	Discretionary	10%	11	49.12	30.61		8	-29%
2022-07	UVV	Staples	10%	11	60.81	41.44		10	-10%
2022-07	SMP	Discretionary	10%	11	45.77	42.41		11	+7%
2022-07	GIII	Discretionary	10%	10	20.01	30.28		16	+53%
2022-07	COHU	Technology	9%	10	24.85	50.79	1	19	+108%
2022-07	ASTE	Industrials	9%	10	41.50	39.27		10	-0%
2022-07	BHE	Technology	9%	10	22.13	68.37		33	+235%
2022-07	SIG	Discretionary	9%	10	53.55	117.59		22	+132%
2023-01	BCC	Industrials	12%	14	70.12	78.83		19	+31%
2023-01	HZO	Discretionary	11%	13	31.38	52.76	4	15	+46%
2023-01	AOSL	Technology	11%	13	29.32	22.98		10	-22%
2023-01	UVV	Staples	10%	12	53.18	41.44		12	+0%
2023-01	SMP	Discretionary	10%	12	35.17	42.41		16	+37%
2023-01	GIII	Discretionary	10%	11	13.97	30.28		25	+120%
2023-01	ASTE	Industrials	9%	11	41.21	39.27		11	-0%
2023-01	WGO	Discretionary	9%	11	52.51	30.61		7	-34%
2023-01	COHU	Technology	9%	10	31.73	50.79	1	16	+63%
2023-01	SIG	Discretionary	9%	10	66.20	117.59		19	+87%
2023-07	BCC	Industrials	12%	14	90.57	78.83		14	-3%
2023-07	HCC	Materials	11%	13	39.60	85.97		29	+123%
2023-07	HZO	Discretionary	11%	12	34.30	52.76	3	13	+34%
2023-07	AOSL	Technology	10%	11	32.87	22.98		8	-30%
2023-07	UVV	Staples	10%	11	50.58	41.44		11	+2%
2023-07	SMP	Discretionary	9%	11	37.97	42.41		13	+25%
2023-07	BHE	Technology	9%	10	25.92	68.37		29	+178%
2023-07	LCII	Discretionary	9%	10	127.06	98.98		9	-11%
2023-07	PLAB	Technology	9%	10	26.19	27.58		11	+5%
2023-07	DIOD	Technology	9%	10	93.36	80.13		9	-14%
2024-01	BCC	Industrials	12%	14	128.24	78.83		9	-35%
2024-01	AOSL	Technology	11%	12	27.38	22.98		10	-16%
2024-01	HCC	Materials	10%	11	60.91	85.97		16	+44%
2024-01	UVV	Staples	10%	11	67.18	41.44		8	-25%
2024-01	SMP	Discretionary	10%	11	39.74	42.41		13	+17%
2024-01	LNN	Materials	10%	11	127.69	107.63		9	-13%
2024-01	WOR	Industrials	10%	10	56.72	62.75		12	+15%
2024-01	DIOD	Technology	9%	10	79.65	80.13		10	+1%
2024-01	BHE	Technology	9%	10	27.28	68.37		27	+161%
2024-01	AMR	Materials	9%	10	341.24	159.19		5	-53%
2024-07	BCC	Industrials	12%	14	117.69	78.83		10	-29%
2024-07	HCC	Materials	11%	14	73.37	85.97		16	+18%
2024-07	AOSL	Technology	10%	12	38.24	22.98		7	-40%
2024-07	DIOD	Technology	10%	12	70.19	80.13		14	+14%
2024-07	SMP	Discretionary	10%	12	27.04	42.41		20	+70%
2024-07	PLAB	Technology	10%	12	24.48	27.58		13	+13%
2024-07	LNN	Materials	10%	11	113.16	107.63		11	-2%
2024-07	UVV	Staples	10%	11	47.64	41.44		12	+2%
2024-07	WOR	Industrials	9%	11	45.27	62.75		16	+43%
2024-07	MTUS	Materials	9%	11	20.20	21.12		11	+5%
2025-01	BCC	Industrials	12%	13	117.23	78.83		9	-31%
2025-01	HCC	Materials	11%	13	54.44	85.97		21	+59%
2025-01	DIOD	Technology	10%	11	61.31	80.13		15	+31%
2025-01	PLAB	Technology	10%	11	24.01	27.58		13	+15%
2025-01	LNN	Materials	10%	11	116.77	107.63		11	-6%

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Year	Company	Sector	Weight	In	Bought at	Now	Sold	Kept	Return
2025-01	AOSL	Technology	10%	11	36.54	22.98		7	-37%
2025-01	SMP	Discretionary	10%	11	30.59	42.41		16	+47%
2025-01	UVV	Staples	9%	11	54.70	41.44		9	-14%
2025-01	COHU	Technology	9%	11	26.45	50.79	2	20	+96%
2025-01	ANDE	Staples	9%	11	40.10	64.29		18	+65%
2025-07	BCC	Industrials	11%	13	92.12	78.83		11	-13%
2025-07	HCC	Materials	11%	13	44.39	85.97		25	+95%
2025-07	PLAB	Technology	11%	12	19.74	27.58		17	+40%
2025-07	AOSL	Technology	10%	12	26.55	22.98		10	-13%
2025-07	UVV	Staples	10%	11	57.48	41.44		9	-21%
2025-07	AMR	Materials	10%	11	104.99	159.19		16	+52%
2025-07	DIOD	Technology	10%	11	55.30	80.13		16	+45%
2025-07	BHE	Technology	10%	11	38.77	68.37		19	+79%
2025-07	LNN	Materials	9%	11	147.56	107.63		8	-26%
2025-07	WS	Materials	9%	10	30.75	40.66		14	+35%
2026-01	BCC	Industrials	12%	15	74.12	78.83		16	+7%
2026-01	LRN	Discretionary	11%	14	64.61	78.36		17	+21%
2026-01	HCC	Materials	10%	13	89.55	85.97		13	-4%
2026-01	IPAR	Staples	10%	13	85.44	116.37		18	+39%
2026-01	DIOD	Technology	10%	13	51.43	80.13		20	+56%
2026-01	PLAB	Technology	10%	13	33.41	27.58		10	-17%
2026-01	UVV	Staples	10%	13	52.58	41.44		11	-16%
2026-01	LNN	Materials	10%	12	121.15	107.63		11	-10%
2026-01	ALG	Industrials	9%	12	170.43	147.76		10	-13%
2026-01	CNR	Energy	9%	12	89.89	86.93		12	-3%
2026-07	HRMY	Health care	11%	20	36.00	38.76		22	+8%
2026-07	LRN	Discretionary	11%	20	88.57	78.36		17	-12%
2026-07	GIII	Discretionary	10%	19	33.57	30.28		17	-9%
2026-07	INVA	Health care	10%	19	21.90	21.22		18	-3%
2026-07	BCC	Industrials	10%	18	75.48	78.83		19	+5%
2026-07	ALG	Industrials	10%	18	166.30	147.76		16	-11%
2026-07	LNN	Materials	10%	18	121.07	107.63		16	-11%
2026-07	IPAR	Staples	10%	18	115.66	116.37		18	+1%
2026-07	UVV	Staples	9%	17	52.08	41.44		14	-18%
2026-07	PLAB	Technology	9%	17	30.31	27.58		16	-9%

B Every company ranked

Table 12: All 418 companies of the S&P SmallCap 600 scored on 18 September 2026, from the highest score to the lowest: sector, score, score on the 0-to-1 scale and colour (Green, Amber or Red; not a recommendation).

Rank	Company	Sector	Score	Score 0 to 1	Colour
1	Stride, Inc. (LRN)	Consumer Discretionary	30.6	0.89	Green
2	G-III Apparel Group, Ltd. (GIII)	Consumer Discretionary	29.3	0.85	Green
3	Harmony Biosciences Holdings, Inc. (HRMY)	Health Care	28.9	0.85	Green
4	Lindsay Corporation (LNN)	Materials	28.9	0.84	Green
5	Innoviva, Inc. (INVA)	Health Care	28.0	0.82	Green
6	Boise Cascade (BCC)	Industrials	28.0	0.82	Green

Table 12: All 418 companies of the S&P SmallCap 600 scored on 18 September 2026, from the highest score to the lowest: sector, score, score on the 0-to-1 scale and colour (Green, Amber or Red; not a recommendation).

Rank	Company	Sector	Score	Score 0 to 1	Colour
7	Alamo Group (ALG)	Industrials	27.4	0.80	Green
8	Universal Corporation (UVV)	Consumer Staples	26.3	0.77	Green
9	Photronics, Inc. (PLAB)	Information Technology	26.3	0.77	Green
10	United States Lime & Minerals, Inc. (USLM)	Materials	26.0	0.76	Green
11	Alpha Metallurgical Resources, Inc. (AMR)	Materials	26.0	0.76	Green
12	Inter Parfums, Inc. (IPAR)	Consumer Staples	25.9	0.76	Green
13	Kennametal (KMT)	Industrials	25.9	0.76	Green
14	American Eagle Outfitters (AEO)	Consumer Discretionary	24.2	0.71	Green
15	EPAM Systems (EPAM)	Information Technology	24.0	0.70	Green
16	Carter's, Inc. (CRI)	Consumer Discretionary	23.9	0.70	Green
17	ePlus, Inc. (PLUS)	Information Technology	23.9	0.70	Green
18	Amphstar Pharmaceuticals, Inc. (AMPH)	Health Care	23.6	0.69	Green
19	Cal-Maine Foods, Inc. (CALM)	Consumer Staples	23.3	1.00	Green
20	International Seaways, Inc. (INSW)	Energy	23.1	0.68	Green
21	Warrior Met Coal, Inc. (HCC)	Materials	23.0	0.67	Green
22	Franklin Electric (FELE)	Industrials	23.0	0.67	Green
23	ScanSource, Inc. (SCSC)	Information Technology	22.9	0.67	Green
24	J&J Snack Foods Corp. (JJSF)	Consumer Staples	22.7	0.66	Green
25	Core Natural Resources, Inc. (CNR)	Energy	22.6	0.66	Green
26	Academy Sports + Outdoors (ASO)	Consumer Discretionary	22.5	0.66	Green
27	NOW Inc (DNOW)	Industrials	22.4	0.66	Green
28	Harmonic Inc. (HLIT)	Information Technology	22.4	0.65	Green
29	Del Monte Corporation (DMC)	Consumer Staples	22.0	0.64	Green
30	Dorman Products, Inc. (DORM)	Consumer Discretionary	21.9	0.64	Green
31	Innovex International, Inc. (INVX)	Energy	21.9	0.64	Green
32	ADMA Biologics, Inc. (ADMA)	Health Care	21.9	0.64	Green
33	Upwork, Inc. (UPWK)	Industrials	21.6	0.63	Green
34	RPC, Inc. (RES)	Energy	21.6	0.93	Green
35	Simply Good Foods Company (SMPL)	Consumer Staples	21.5	0.63	Green
36	Dorian LPG Ltd. (LPG)	Energy	21.3	0.62	Green
37	Tennant Company (TNC)	Industrials	21.2	0.62	Green
38	Worthington Steel (WS)	Materials	21.1	0.69	Green
39	John B. Sanfilippo & Son, Inc. (JBSS)	Consumer Staples	21.0	0.81	Green

Table 12: All 418 companies of the S&P SmallCap 600 scored on 18 September 2026, from the highest score to the lowest: sector, score, score on the 0-to-1 scale and colour (Green, Amber or Red; not a recommendation).

Rank	Company	Sector	Score	Score 0 to 1	Colour
40	Apogee Enterprises, Inc. (APOG)	Industrials	21.0	0.61	Green
41	Winnebago Industries, Inc. (WGO)	Consumer Discretionary	21.0	0.61	Green
42	Enerpac Tool Group (EPAC)	Industrials	20.6	0.60	Green
43	Sally Beauty Holdings, Inc. (SBH)	Consumer Discretionary	20.6	0.60	Green
44	Interface, Inc. (TILE)	Industrials	20.5	0.60	Green
45	Sylvamo Corp. (SLVM)	Materials	20.3	0.59	Green
46	Yelp, Inc. (YELP)	Communication Services	20.3	0.87	Green
47	Peabody Energy, Inc. (BTU)	Energy	20.2	0.59	Green
48	Installed Building Products, Inc. (IBP)	Consumer Discretionary	20.1	0.59	Green
49	Otter Tail Corporation (OTTR)	Utilities	19.9	0.58	Green
50	Astec Industries, Inc. (ASTE)	Industrials	19.8	0.58	Green
51	Pool Corporation (POOL)	Consumer Discretionary	19.8	0.58	Green
52	Steven Madden, Ltd. (SHOO)	Consumer Discretionary	19.6	0.57	Green
53	Perdoceo Education Corp. (PRDO)	Consumer Discretionary	19.5	0.84	Green
54	Gibraltar Industries, Inc. (ROCK)	Industrials	19.4	0.57	Green
55	Mueller Water Products (MWA)	Industrials	19.3	0.63	Green
56	WD-40 Company (WDFC)	Consumer Staples	19.2	0.56	Green
57	Kontoor Brands (KTB)	Consumer Discretionary	19.1	0.56	Green
58	Champion Homes, Inc. (SKY)	Consumer Discretionary	19.0	0.55	Green
59	Korn/Ferry International (KFY)	Industrials	18.9	0.55	Green
60	Kohl's Corp. (KSS)	Consumer Discretionary	18.9	0.55	Green
61	Federal Signal Corporation (FSS)	Industrials	18.8	0.55	Green
62	Koppers Holdings, Inc. (KOP)	Materials	18.8	0.55	Green
63	Benchmark Electronics, Inc. (BHE)	Information Technology	18.6	0.54	Green
64	Verra Mobility Corporation (VRRM)	Industrials	18.5	0.54	Green
65	Diodes Incorporated (DIOD)	Information Technology	18.4	0.54	Green
66	Prestige Consumer Healthcare (PBH)	Health Care	18.3	0.54	Green
67	OSI Systems, Inc. (OSIS)	Information Technology	18.3	0.54	Green
68	Eastman Chemical Company (EMN)	Materials	18.1	0.53	Green
69	Enphase Energy (ENPH)	Information Technology	18.1	0.59	Green

Table 12: All 418 companies of the S&P SmallCap 600 scored on 18 September 2026, from the highest score to the lowest: sector, score, score on the 0-to-1 scale and colour (Green, Amber or Red; not a recommendation).

Rank	Company	Sector	Score	Score 0 to 1	Colour
70	A10 Networks, Inc. (ATEN)	Information Technology	18.0	0.53	Green
71	CarGurus (CARG)	Communication Services	17.9	0.69	Green
72	LCI Industries (LCII)	Consumer Discretionary	17.7	0.52	Green
73	DXP Enterprises, Inc. (DXPE)	Industrials	17.6	0.52	Green
74	UFP Technologies, Inc. (UFPT)	Health Care	17.6	0.52	Green
75	Reynolds Consumer Products (REYN)	Consumer Staples	17.6	0.52	Green
76	Worthington Enterprises (WOR)	Industrials	17.5	0.51	Green
77	Primoris Services Corporation (PRIM)	Industrials	17.4	0.51	Green
78	Alpha and Omega Semiconductor, Ltd. (AOSL)	Information Technology	17.4	0.51	Green
79	Innospec, Inc. (IOSP)	Materials	17.4	0.75	Green
80	Axcelis Technologies, Inc. (ACLS)	Information Technology	17.2	0.74	Green
81	Veeco Instruments Inc. (VECO)	Information Technology	17.1	0.50	Green
82	Acushnet Company (GOLF)	Consumer Discretionary	17.1	0.50	Green
83	Kadant Inc. (KAI)	Industrials	16.9	0.49	Green
84	National Beverage Corp. (FIZZ)	Consumer Staples	16.9	0.73	Green
85	Centrus Energy Corp. (LEU)	Energy	16.9	0.65	Green
86	Oceaneering International, Inc. (OII)	Energy	16.7	0.49	Green
87	Hawkins, Inc. (HWKN)	Materials	16.6	0.48	Green
88	The Wendy's Company (WEN)	Consumer Discretionary	16.5	0.48	Green
89	Energizer (ENR)	Consumer Staples	16.5	0.48	Green
90	Rush Enterprises (RUSHA)	Industrials	16.5	0.64	Green
91	Gentherm Incorporated (THRM)	Consumer Discretionary	16.5	0.48	Green
92	Arcus Biosciences, Inc. (RCUS)	Health Care	16.4	0.48	Green
93	Xencor Inc (XNCR)	Health Care	16.4	0.48	Green
94	Cactus, Inc. (WHD)	Energy	16.1	0.89	Green
95	VSE Corporation (VSEC)	Industrials	16.1	0.47	Green
96	Tidewater, Inc. (TDW)	Energy	16.0	0.47	Green
97	PC Connection, Inc. (CNXN)	Information Technology	16.0	0.69	Green
98	ACM Research, Inc. (ACMR)	Information Technology	16.0	0.62	Green
99	Standard Motor Products, Inc. (SMP)	Consumer Discretionary	16.0	0.47	Green
100	Sarepta Therapeutics (SRPT)	Health Care	16.0	0.47	Green
101	National Healthcare, Corp. (NHC)	Health Care	15.8	0.46	Green
102	Organon & Co. (OGN)	Health Care	15.8	0.46	Green
103	CSW Industrials, Inc. (CSW)	Industrials	15.8	0.46	Green

Table 12: All 418 companies of the S&P SmallCap 600 scored on 18 September 2026, from the highest score to the lowest: sector, score, score on the 0-to-1 scale and colour (Green, Amber or Red; not a recommendation).

Rank	Company	Sector	Score	Score 0 to 1	Colour
104	Brady Corporation (BRC)	Industrials	15.8	0.87	Green
105	Atmus Filtration Technologies Inc. (ATMU)	Industrials	15.7	0.52	Green
106	CleanSpark, Inc. (CLSK)	Information Technology	15.7	0.68	Green
107	Group 1 Automotive, Inc. (GPI)	Consumer Discretionary	15.7	0.46	Green
108	Gates Corporation (GTES)	Industrials	15.7	0.46	Green
109	Cogent Communications Holdings, Inc. (CCOI)	Communication Services	15.6	0.46	Green
110	Napco Security Technologies (NSSC)	Information Technology	15.6	0.67	Green
111	Green Brick Partners, Inc. (GRBK)	Consumer Discretionary	15.4	0.84	Green
112	Adeia, Inc. (ADEA)	Information Technology	15.4	0.45	Green
113	NCR Voyix (VYX)	Information Technology	15.3	0.45	Green
114	Flowers Foods (FLO)	Consumer Staples	15.2	0.44	Green
115	Armstrong World Industries, Inc. (AWI)	Industrials	15.1	0.44	Green
116	Patrick Industries, Inc. (PATK)	Consumer Discretionary	15.1	0.44	Green
117	Par Pacific Holdings, Inc. (PARR)	Energy	15.1	0.44	Green
118	CVR Energy, Inc. (CVI)	Energy	15.1	0.44	Green
119	Merit Medical Systems, Inc. (MMSI)	Health Care	15.0	0.44	Green
120	AZZ, Inc. (AZZ)	Industrials	14.9	0.44	Green
121	FormFactor, Inc. (FORM)	Information Technology	14.9	0.43	Green
122	Lamb Weston (LW)	Consumer Staples	14.8	0.43	Green
123	The Greenbrier Companies, Inc. (GBX)	Industrials	14.7	0.81	Green
124	MasterBrand, Inc. (MBC)	Industrials	14.6	0.48	Green
125	Northern Oil and Gas, Inc. (NOG)	Energy	14.6	0.43	Green
126	Central Garden & Pet Company (Class A) (CENTA)	Consumer Staples	14.5	0.56	Green
127	The Campbell's Company (CPB)	Consumer Staples	14.4	0.42	Green
128	ESCO Technologies Inc. (ESE)	Industrials	14.4	0.42	Green
129	Sensient Technologies (SXT)	Materials	14.3	0.42	Green
130	Itron, Inc. (ITRI)	Information Technology	14.3	0.42	Green
131	Edgewell Personal Care (EPC)	Consumer Staples	14.2	0.42	Green
132	ABM Industries, Inc. (ABM)	Industrials	14.2	0.42	Green
133	Insight Enterprises, Inc. (NSIT)	Industrials	14.2	0.41	Green
134	Zurn Elkay Water Solutions Corp. (ZWS)	Industrials	14.2	0.41	Green
135	JBT Marel Corporation (JBTM)	Industrials	14.1	0.41	Green

Table 12: All 418 companies of the S&P SmallCap 600 scored on 18 September 2026, from the highest score to the lowest: sector, score, score on the 0-to-1 scale and colour (Green, Amber or Red; not a recommendation).

Rank	Company	Sector	Score	Score 0 to 1	Colour
136	Mohawk Industries (MHK)	Consumer Discretionary	14.1	0.41	Green
137	Red Rock Resorts, Inc. (RRR)	Consumer Discretionary	14.1	0.54	Green
138	LeMaitre Vascular (LMAT)	Health Care	14.0	0.60	Green
139	Helmerich & Payne, Inc. (HP)	Energy	13.9	0.41	Green
140	Callaway Golf Company (CALY)	Consumer Discretionary	13.8	0.40	Green
141	SM Energy Company (SM)	Energy	13.8	0.59	Green
142	Everus Construction Group, Inc. (ECG)	Industrials	13.8	0.45	Green
143	SkyWest, Inc. (SKYW)	Industrials	13.8	0.40	Green
144	Element Solutions (ESI)	Materials	13.8	0.40	Green
145	Addus HomeCare Corp. (ADUS)	Health Care	13.7	0.40	Green
146	TG Therapeutics, Inc. (TGTX)	Health Care	13.7	0.40	Green
147	MYR Group, Inc. (MYRG)	Industrials	13.7	0.40	Green
148	Bristow Group Inc. (VTOL)	Energy	13.7	0.45	Green
149	Central Garden & Pet Company (CENT)	Consumer Staples	13.7	0.53	Green
150	California Resources Corporation (CRC)	Energy	13.7	0.45	Green
151	Everforth Inc. (EFOR)	Information Technology	13.6	0.40	Amber
152	HNI Corporation (HNI)	Industrials	13.5	0.40	Amber
153	Hayward Holdings, Inc. (HAYW)	Industrials	13.5	0.40	Amber
154	Ichor Holdings, Ltd. (ICHR)	Information Technology	13.5	0.39	Amber
155	Robert Half (RHI)	Industrials	13.5	0.58	Green
156	Kaiser Aluminum Corporation (KALU)	Materials	13.5	0.39	Amber
157	REX American Resources Corporation (REX)	Energy	13.4	0.69	Green
158	Healthcare Services Group, Inc. (HCSG)	Industrials	13.4	0.58	Green
159	Quaker Chemical Corporation (KWR)	Materials	13.4	0.39	Amber
160	LKQ Corporation (LKQ)	Consumer Discretionary	13.4	0.58	Green
161	La-Z-Boy, Inc. (LZB)	Consumer Discretionary	13.4	0.58	Green
162	Shenandoah Telecommunications Co (SHEN)	Communication Services	13.4	0.39	Amber
163	Vishay Intertechnology (VSH)	Information Technology	13.3	0.52	Green
164	Liberty Energy, Inc. (LBRT)	Energy	13.3	0.51	Green
165	DoubleVerify Holdings Inc. (DV)	Communication Services	13.1	0.56	Green
166	AAR Corp. (AIR)	Industrials	13.1	0.38	Amber
167	Cohu, Inc. (COHU)	Information Technology	13.1	0.38	Amber
168	Asbury Automotive Group (ABG)	Consumer Discretionary	13.1	0.38	Amber

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Rank	Company	Sector	Score	Score 0 to 1	Colour
169	XPEL, Inc. (XPEL)	Consumer Discretionary	12.8	0.55	Green
170	Minerals Technologies (MTX)	Materials	12.8	0.37	Amber
171	Sonic Automotive, Inc. (SAH)	Consumer Discretionary	12.8	0.50	Green
172	Acadia Pharmaceuticals (ACAD)	Health Care	12.8	0.55	Green
173	Alkermes plc (ALKS)	Health Care	12.8	0.55	Green
174	Materion Corp. (MTRN)	Materials	12.7	0.37	Amber
175	Versant Media Group, Inc. (VSNT)	Communication Services	12.7	0.70	Green
176	Noble Corporation (NE)	Energy	12.6	0.41	Green
177	GEO Group, Inc. (GEO)	Industrials	12.5	0.37	Amber
178	Albany International Corp. (AIN)	Industrials	12.5	0.36	Amber
179	MDU Resources Group, Inc. (MDU)	Utilities	12.5	0.36	Amber
180	Strategic Education, Inc. (STRA)	Consumer Discretionary	12.5	0.54	Green
181	Schneider National (SNDR)	Industrials	12.4	0.48	Green
182	Covista Inc. (CVSA)	Consumer Discretionary	12.4	0.36	Amber
183	Agilysys, Inc. (AGYS)	Information Technology	12.4	0.36	Amber
184	PHINIA, Inc. (PHIN)	Consumer Discretionary	12.4	0.40	Green
185	PriceSmart (PSMT)	Consumer Staples	12.3	0.36	Amber
186	Frontdoor, Inc. (FTDR)	Consumer Discretionary	12.1	0.35	Amber
187	The Buckle, Inc. (BKE)	Consumer Discretionary	12.0	0.52	Green
188	Collegium Pharmaceutical, Inc. (COLL)	Health Care	12.0	0.52	Green
189	Integer Holdings Corporation (ITGR)	Health Care	12.0	0.35	Amber
190	Badger Meter, Inc. (BMI)	Information Technology	11.9	0.51	Green
191	H.B. Fuller Company (FUL)	Materials	11.8	0.40	Amber
192	American States Water Company (AWR)	Utilities	11.8	0.34	Amber
193	ACI Worldwide (ACIW)	Information Technology	11.8	0.34	Amber
194	Unitil Corporation (UTL)	Utilities	11.7	0.34	Amber
195	Cracker Barrel (CBRL)	Consumer Discretionary	11.7	0.34	Amber
196	Vestis (VSTS)	Industrials	11.7	0.38	Amber
197	Griffon Corporation (GFF)	Industrials	11.7	0.34	Amber
198	MillerKnoll, Inc. (MLKN)	Industrials	11.7	0.34	Amber
199	Universal Technical Institute (UTI)	Consumer Discretionary	11.7	0.34	Amber
200	Stepan Company (SCL)	Materials	11.6	0.34	Amber
201	Insperity (NSP)	Industrials	11.6	0.34	Amber
202	DXC Technology (DXC)	Information Technology	11.6	0.34	Amber

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Rank	Company	Sector	Score	Score 0 to 1	Colour
203	Gulfport Energy Corporation (GPOR)	Energy	11.6	0.38	Amber
204	Lyft, Inc. (LYFT)	Industrials	11.6	0.34	Amber
205	Signet Jewelers (SIG)	Consumer Discretionary	11.6	0.50	Green
206	Impinj, Inc. (PI)	Information Technology	11.5	0.34	Amber
207	Avista Corporation (AVA)	Utilities	11.5	0.50	Green
208	CONMED Corporation (CNMD)	Health Care	11.4	0.33	Amber
209	Urban Outfitters, Inc. (URBN)	Consumer Discretionary	11.3	0.49	Green
210	Solaris Energy Infrastructure, Inc. (SEI)	Energy	11.2	0.62	Green
211	Inspire Medical Systems, Inc. (INSP)	Health Care	11.1	0.48	Green
212	ArcBest Corp. (ARCB)	Industrials	11.1	0.32	Amber
213	Matson, Inc. (MATX)	Industrials	11.1	0.32	Amber
214	ZoomInfo (GTM)	Communication Services	11.0	0.32	Amber
215	WillScot Holdings Corp. (WSC)	Industrials	11.0	0.32	Amber
216	Archrock, Inc. (AROC)	Energy	11.0	0.32	Amber
217	Quanex Building Products Corporation (NX)	Industrials	10.9	0.32	Amber
218	CTS Corporation (CTS)	Information Technology	10.9	0.47	Green
219	Deluxe Corporation (DLX)	Industrials	10.9	0.32	Amber
220	H2O America (HTO)	Utilities	10.9	0.32	Amber
221	Pursuit Attractions & Hospitality, Inc. (PRSU)	Consumer Discretionary	10.9	0.32	Amber
222	Uniti Group (UNIT)	Communication Services	10.9	0.36	Amber
223	ANI Pharmaceuticals, Inc. (ANIP)	Health Care	10.9	0.32	Amber
224	Progyny, Inc. (PGNY)	Health Care	10.8	0.46	Green
225	Boot Barn Holdings, Inc. (BOOT)	Consumer Discretionary	10.8	0.46	Green
226	Standex International Corporation (SXI)	Industrials	10.7	0.31	Amber
227	NETSCOUT Systems, Inc. (NTCT)	Information Technology	10.7	0.31	Amber
228	Calix (CALX)	Information Technology	10.7	0.46	Green
229	Scholastic Corporation (SCHL)	Consumer Discretionary	10.7	0.41	Green
230	The Vita Coco Company (COCO)	Consumer Staples	10.7	0.46	Green
231	Papa John's Pizza (PZZA)	Consumer Discretionary	10.6	0.31	Amber
232	OneSpaWorld Holdings Limited (OSW)	Consumer Discretionary	10.5	0.31	Amber
233	Cavco Industries, Inc. (CVCO)	Consumer Discretionary	10.4	0.45	Green

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Rank	Company	Sector	Score	Score 0 to 1	Colour
234	Brinker International, Inc. (EAT)	Consumer Discretionary	10.3	0.30	Amber
235	Kulicke and Soffa Industries, Inc. (KLIC)	Information Technology	10.3	0.44	Green
236	Power Integrations (POWI)	Information Technology	10.3	0.44	Green
237	California Water Service Group (CWT)	Utilities	10.2	0.30	Amber
238	MGE Energy, Inc. (MGEE)	Utilities	10.2	0.30	Amber
239	Knowles Corporation (KN)	Information Technology	10.2	0.30	Amber
240	Mirion Technologies, Inc. (MIR)	Information Technology	10.2	0.46	Green
241	Ultra Clean Holdings, Inc. (UCTT)	Information Technology	10.2	0.30	Amber
242	NW Natural (NWN)	Utilities	10.2	0.30	Amber
243	Magnolia Oil & Gas, Corp. (MGY)	Energy	10.2	0.56	Green
244	Arcosa, Inc. (ACA)	Industrials	10.2	0.30	Amber
245	ManpowerGroup (MAN)	Industrials	10.1	0.29	Amber
246	Match Group (MTCH)	Communication Services	10.1	0.29	Amber
247	Winmark (WINA)	Consumer Discretionary	10.0	0.43	Green
248	Powell Industries, Inc. (POWL)	Industrials	9.9	0.43	Green
249	Werner Enterprises (WERN)	Industrials	9.9	0.29	Amber
250	Artivion (AORT)	Health Care	9.8	0.29	Amber
251	NeoGenomics Laboratories, Inc. (NEO)	Health Care	9.8	0.42	Green
252	Pacira BioSciences, Inc. (PCRX)	Health Care	9.8	0.29	Amber
253	Chesapeake Utilities Corp. (CPK)	Utilities	9.7	0.28	Amber
254	FMC Corporation (FMC)	Materials	9.7	0.28	Amber
255	Perrigo (PRGO)	Health Care	9.7	0.28	Amber
256	LGI Homes (LGIH)	Consumer Discretionary	9.6	0.53	Green
257	Tutor Perini Corporation (TPC)	Industrials	9.6	0.28	Amber
258	QuinStreet, Inc. (QNST)	Communication Services	9.6	0.28	Amber
259	Phibro Animal Health (PAHC)	Health Care	9.5	0.64	Green
260	Progress Software Corporation (PRGS)	Information Technology	9.5	0.28	Amber
261	Corsair Gaming (CRSR)	Information Technology	9.4	0.27	Amber
262	Concentra Group Holdings Parent, Inc. (CON)	Health Care	9.4	0.31	Amber
263	Wolverine World Wide, Inc. (WWW)	Consumer Discretionary	9.4	0.27	Amber
264	MarineMax, Inc. (HZO)	Consumer Discretionary	9.3	0.27	Amber

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Rank	Company	Sector	Score	Score 0 to 1	Colour
265	PDF Solutions, Inc. (PDFS)	Information Technology	9.3	0.27	Amber
266	Penguin Solutions, Inc. (PENG)	Information Technology	9.3	0.27	Amber
267	Iridium Communications (IRDM)	Communication Services	9.2	0.30	Amber
268	United Parks & Resorts (PRKS)	Consumer Discretionary	9.2	0.27	Amber
269	Teleflex (TFX)	Health Care	9.2	0.27	Amber
270	Pediatrix Medical Group (MD)	Health Care	9.2	0.27	Amber
271	The Andersons, Inc. (ANDE)	Consumer Staples	9.1	0.40	Amber
272	CoreCivic (CXW)	Industrials	9.1	0.26	Amber
273	Azenta, Inc. (AZTA)	Health Care	9.1	0.39	Amber
274	Argan, Inc. (AGX)	Industrials	9.1	0.39	Amber
275	STAAR Surgical Company (STAA)	Health Care	9.0	0.39	Amber
276	Vir Biotechnology, Inc. (VIR)	Health Care	9.0	0.39	Amber
277	Metallus Inc (MTUS)	Materials	8.9	0.38	Amber
278	Fox Factory (FOXF)	Consumer Discretionary	8.9	0.26	Amber
279	Integra Lifesciences Holdings (IART)	Health Care	8.9	0.26	Amber
280	Tandem Diabetes Care (TNDM)	Health Care	8.9	0.26	Amber
281	Teradata (TDC)	Information Technology	8.8	0.26	Amber
282	Granite Construction, Inc. (GVA)	Industrials	8.8	0.26	Amber
283	Victoria's Secret (VSXY)	Consumer Discretionary	8.7	0.25	Amber
284	Advance Auto Parts, Inc. (AAP)	Consumer Discretionary	8.7	0.25	Amber
285	SPS Commerce, Inc. (SPSC)	Information Technology	8.6	0.37	Amber
286	Paycom (PAYC)	Industrials	8.5	0.37	Amber
287	Neogen (NEOG)	Health Care	8.5	0.25	Amber
288	Under Armour (Class C) (UA)	Consumer Discretionary	8.4	0.38	Amber
289	Under Armour (Class A) (UAA)	Consumer Discretionary	8.4	0.38	Amber
290	LiveRamp Holdings, Inc. (RAMP)	Information Technology	8.4	0.36	Amber
291	Marten Transport, Ltd. (MRTN)	Industrials	8.3	0.36	Amber
292	Construction Partners, Inc. (ROAD)	Industrials	8.2	0.32	Amber
293	The Cheesecake Factory, Inc. (CAKE)	Consumer Discretionary	8.2	0.24	Amber
294	Middlesex Water Company (MSEX)	Utilities	8.2	0.24	Amber
295	Etsy (ETSY)	Consumer Discretionary	8.1	0.24	Amber
296	Bright Horizons Family Solutions Inc. (BFAM)	Consumer Discretionary	8.1	0.24	Amber

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Rank	Company	Sector	Score	Score 0 to 1	Colour
297	Alignment Healthcare, Inc. (ALHC)	Health Care	8.1	0.24	Amber
298	Monarch Casino & Resort, Inc. (MCRI)	Consumer Discretionary	8.1	0.35	Amber
299	N-able, Inc. (NABL)	Information Technology	8.0	0.23	Amber
300	Plexus Corp. (PLXS)	Information Technology	8.0	0.34	Amber
301	CorVel Corporation (CRVL)	Health Care	8.0	0.34	Amber
302	Balchem Corporation (BCPC)	Materials	8.0	0.34	Amber
303	Veracyte, Inc. (VCYT)	Health Care	8.0	0.34	Amber
304	Patterson-UTI Energy, Inc. (PTEN)	Energy	7.9	0.23	Amber
305	Laureate Education, Inc. (LAUR)	Consumer Discretionary	7.9	0.23	Amber
306	Telephone and Data Systems, Inc. (TDS)	Communication Services	7.7	0.23	Amber
307	Rogers Corporation (ROG)	Information Technology	7.7	0.33	Amber
308	Dauch Corporation (DCH)	Consumer Discretionary	7.6	0.22	Amber
309	People Inc. (PPLI)	Communication Services	7.6	0.29	Amber
310	Peloton Interactive, Inc. (PTON)	Consumer Discretionary	7.6	0.29	Amber
311	Atlas Energy Solutions, Inc. (AESI)	Energy	7.5	0.24	Amber
312	UniFirst Corporation (UNF)	Industrials	7.4	0.50	Green
313	Astrana Health, Inc. (ASTH)	Health Care	7.3	0.21	Amber
314	Ziff Davis (ZD)	Communication Services	7.2	0.21	Amber
315	EnPro Industries, Inc. (NPO)	Industrials	7.2	0.21	Amber
316	Shake Shack, Inc. (SHAK)	Consumer Discretionary	7.1	0.27	Amber
317	Protolabs (PRLB)	Industrials	7.0	0.30	Amber
318	John Wiley & Sons (WLY)	Communication Services	6.9	0.27	Amber
319	Celanese (CE)	Materials	6.9	0.20	Amber
320	Certara, Inc. (CERT)	Health Care	6.7	0.20	Red
321	Chefs' Warehouse, Inc. (CHEF)	Consumer Staples	6.7	0.20	Red
322	Enovis (ENOV)	Health Care	6.7	0.20	Red
323	ICU Medical (ICUI)	Health Care	6.7	0.20	Red
324	Resideo Technologies, Inc. (REZI)	Industrials	6.7	0.20	Red
325	Matthews International Corporation (MATW)	Consumer Discretionary	6.6	0.19	Red
326	Corcept Therapeutics Incorporated (CORT)	Health Care	6.3	0.27	Amber
327	OPENLANE, Inc. (OPLN)	Industrials	6.2	0.18	Red
328	ADT Inc. (ADT)	Consumer Discretionary	6.2	0.34	Amber
329	HealthStream, Inc. (HSTM)	Health Care	6.0	0.26	Amber

Table 12: All 418 companies of the S&P SmallCap 600 scored on 18 September 2026, from the highest score to the lowest: sector, score, score on the 0-to-1 scale and colour (Green, Amber or Red; not a recommendation).

Rank	Company	Sector	Score	Score 0 to 1	Colour
330	Digi International Inc. (DGII)	Information Technology	6.0	0.18	Red
331	Ligand Pharmaceuticals, Inc. (LGND)	Health Care	6.0	0.26	Amber
332	Life360 (LIF)	Information Technology	6.0	0.26	Amber
333	Protagonist Therapeutics, Inc. (PTGX)	Health Care	6.0	0.26	Amber
334	Vericel (VCEL)	Health Care	6.0	0.26	Amber
335	Supernus Pharmaceuticals, Inc. (SUPN)	Health Care	5.9	0.25	Amber
336	Comstock Resources, Inc. (CRK)	Energy	5.8	0.17	Red
337	Lifestance Health (LFST)	Health Care	5.8	0.25	Amber
338	TransMedics Group, Inc. (TMDX)	Health Care	5.8	0.25	Amber
339	Freshpet (FRPT)	Consumer Staples	5.6	0.24	Amber
340	Amneal Pharmaceuticals (AMRX)	Health Care	5.4	0.16	Red
341	Viasat, Inc. (VSAT)	Information Technology	5.4	0.16	Red
342	Crescent Energy Company (CRGY)	Energy	5.3	0.23	Amber
343	Privia Health Group, Inc. (PRVA)	Health Care	5.3	0.23	Amber
344	Dana Incorporated (DAN)	Consumer Discretionary	5.2	0.15	Red
345	World Kinect Corporation (WKC)	Energy	5.2	0.15	Red
346	Chemours (CC)	Materials	5.2	0.17	Red
347	Kinetik Holdings, Inc. (KNTK)	Energy	5.2	0.20	Amber
348	Ralliant Corp (RAL)	Information Technology	5.1	0.17	Red
349	V2X, Inc. (VVX)	Industrials	5.0	0.15	Red
350	MARA Holdings, Inc. (MARA)	Information Technology	5.0	0.15	Red
351	TripAdvisor (TRIP)	Communication Services	5.0	0.15	Red
352	Five9, Inc. (FIVN)	Information Technology	5.0	0.21	Amber
353	Glaukos Corp. (GKOS)	Health Care	5.0	0.21	Amber
354	MaxLinear, Inc. (MXL)	Information Technology	4.9	0.14	Red
355	RXO, Inc. (RXO)	Industrials	4.9	0.14	Red
356	United Natural Foods Inc (UNFI)	Consumer Staples	4.9	0.14	Red
357	Amn Healthcare Services, Inc. (AMN)	Health Care	4.8	0.14	Red
358	Sprinklr, Inc. (CXM)	Information Technology	4.8	0.32	Amber
359	Century Aluminum Company (CENX)	Materials	4.7	0.20	Amber
360	BlackLine Systems, Inc. (BL)	Information Technology	4.6	0.20	Red

Table 12: All 418 companies of the S&P SmallCap 600 scored on 18 September 2026, from the highest score to the lowest: sector, score, score on the 0-to-1 scale and colour (Green, Amber or Red; not a recommendation).

Rank	Company	Sector	Score	Score 0 to 1	Colour
361	Lumen Technologies (LUMN)	Communication Services	4.5	0.13	Red
362	RadNet, Inc. (RDNT)	Health Care	4.5	0.13	Red
363	U.S. Physical Therapy, Inc. (USPH)	Health Care	4.4	0.13	Red
364	Concentrix (CNXC)	Industrials	4.4	0.13	Red
365	Newell Brands (NWL)	Consumer Discretionary	4.4	0.13	Red
366	Blackbaud (BLKB)	Information Technology	4.1	0.12	Red
367	Caesars Entertainment (CZR)	Consumer Discretionary	4.1	0.12	Red
368	Extreme Networks, Inc. (EXTR)	Information Technology	4.1	0.12	Red
369	First Advantage Corporation (FA)	Industrials	4.1	0.13	Red
370	Karman Holdings (KRMN)	Industrials	4.1	0.21	Amber
371	Mercury Systems (MRCY)	Industrials	4.1	0.17	Red
372	Schrödinger, Inc. (SDGR)	Health Care	4.1	0.27	Amber
373	Diebold Nixdorf (DBD)	Information Technology	4.0	0.22	Amber
374	Liquidity Services, Inc. (LQDT)	Industrials	3.9	0.17	Red
375	Grocery Outlet (GO)	Consumer Staples	3.6	0.11	Red
376	Conagra Brands (CAG)	Consumer Staples	3.5	0.10	Red
377	Kodiak Gas Services, Inc. (KGS)	Energy	3.5	0.12	Red
378	Clearway Energy, Inc. (Class C) (CWEN)	Utilities	3.5	0.19	Red
379	Arlo Technologies (ARLO)	Information Technology	3.3	0.14	Red
380	Acadia Healthcare (ACHC)	Health Care	3.2	0.09	Red
381	QuidelOrtho (QDEL)	Health Care	3.2	0.09	Red
382	Sunrun (RUN)	Industrials	3.2	0.09	Red
383	Liquidia Corporation (LQDA)	Health Care	3.2	0.14	Red
384	PTC Therapeutics, Inc. (PTCT)	Health Care	3.2	0.14	Red
385	Rush Street Interactive, Inc. (RSI)	Consumer Discretionary	3.2	0.21	Amber
386	SolarEdge (SEDG)	Information Technology	3.2	0.14	Red
387	Warby Parker (WRBY)	Consumer Discretionary	3.2	0.21	Amber
388	Box, Inc. (BOX)	Information Technology	3.1	0.09	Red
389	Casella Waste Systems, Inc. (CWST)	Industrials	3.0	0.12	Red
390	Pitney Bowes, Inc. (PBI)	Industrials	3.0	0.09	Red
391	BJ's Restaurants, Inc. (BJRI)	Consumer Discretionary	2.9	0.09	Red
392	Life Time Group Holdings, Inc. (LTH)	Consumer Discretionary	2.9	0.09	Red
393	Heartland Express, Inc. (HTLD)	Industrials	2.5	0.07	Red

Table 12: All 418 companies of the S&P SmallCap 600 scored on 18 September 2026, from the highest score to the lowest: sector, score, score on the 0-to-1 scale and colour (Green, Amber or Red; not a recommendation).

Rank	Company	Sector	Score	Score 0 to 1	Colour
394	RingCentral, Inc. (RNG)	Information Technology	2.5	0.10	Red
395	Adient (ADNT)	Consumer Discretionary	2.3	0.07	Red
396	Amentum (AMTM)	Industrials	2.3	0.08	Red
397	Goodyear Tire and Rubber Company (GT)	Consumer Discretionary	2.3	0.07	Red
398	Hawaiian Electric Industries, Inc. (HE)	Utilities	2.3	0.07	Red
399	Ingevity, Corp. (NGVT)	Materials	2.3	0.07	Red
400	O-I Glass, Inc. (OI)	Materials	2.3	0.07	Red
401	Sabre (SABR)	Consumer Discretionary	2.3	0.07	Red
402	Talos Energy, Inc. (TALO)	Energy	2.3	0.07	Red
403	Waystar Holding Corp (WAY)	Health Care	2.3	0.08	Red
404	Madison Square Garden Sports Corp. (MSGS)	Communication Services	2.2	0.08	Red
405	Omnicell (OMCL)	Health Care	2.2	0.09	Red
406	AdaptHealth Corp. (AHCO)	Health Care	1.4	0.04	Red
407	Allegiant Travel Company (ALGT)	Industrials	1.4	0.04	Red
408	Coty (COTY)	Consumer Staples	1.4	0.04	Red
409	National Vision Holdings (EYE)	Consumer Discretionary	1.4	0.04	Red
410	Fortrea (FTRE)	Health Care	1.4	0.05	Red
411	Indivior (INDV)	Health Care	1.4	0.05	Red
412	JetBlue (JBLU)	Industrials	1.4	0.04	Red
413	Penn Entertainment (PENN)	Consumer Discretionary	1.4	0.04	Red
414	Sonos, Inc. (SONO)	Consumer Discretionary	1.4	0.06	Red
415	Sphere Entertainment (SPHR)	Communication Services	1.4	0.10	Red
416	Six Flags (FUN)	Consumer Discretionary	0.5	0.02	Red
417	LegalZoom.com, Inc. (LZ)	Industrials	0.5	0.02	Red
418	Q2 Holdings, Inc. (QTWO)	Information Technology	0.5	0.02	Red

Table 12 ranks all 418 companies of the S&P SmallCap 600 that are scored on 18 September 2026, the highest score first. The next picks are the first 10 and the lowest scores of Section 10 the last 10. Companies with the same score are ordered by symbol, from A to Z, so when several share the last place the last rows can differ from the lowest scores of Section 10, which keeps the alphabetically first of them. Financials, Real Estate and companies with too few rules to score are not scored and so are not listed. The colours are those of Section 10, against the sell threshold of 0.4. The ranking shows where the score places each company today; it is not a recommendation to buy or sell anything.

C Wallet contents by year

Table 13: Wallet with sells of the investor who started in 2020: value of each holding after each January's trades and today (USD), and the money put in and the proceeds of sales to date, July decisions included.

Holding	2020	2021	2022	2023	2024	2025	2026	Now
HZO	10	49	113	84	117	84	61	113
UVV	11	39	78	100	160	163	190	174
GVA	11	28	17	16	18	14	8	4
SIG	10	13	25	41	65	49	55	76
SCSC	10	17	21	17	23	27	23	34
LCII	10	12	15	9	23	19	25	20
LZB	9	27	25	16	26	32	28	23
CALY	10	4	1	0	0	0	0	0
NPO	10	11	16	16	23	25	20	13
NSIT	10	10	28	27	46	39	22	45
HCC		25	29	38	105	118	235	226
AIR		15	18	20	28	28	32	31
IPAR		12	23	21	31	29	33	64
RES		21	27	37	31	27	25	29
TILE		13	16	10	7	14	16	21
POWL		11	22	27	72	178	275	347
SMP		10	42	49	79	88	110	129
PATK		10	12	9	15	19	26	18
PLAB		10	51	44	93	95	166	153
INVA		10	43	33	40	43	49	70
GFF		10	28	24	24	13	10	11
GIII			24	31	73	70	65	84
FORM			17	8	14	16	21	31
BCC			29	60	155	176	137	167
WGO			12	31	43	29	26	20
BHE			11	23	45	77	88	138
COHU				23	25	30	28	54
ASTE				21	18	17	24	21
AOSL				13	33	67	47	52
DIOD					19	37	53	83
LNN					11	33	56	66
WOR					10	17	23	28
AMR					10	6	27	21
MTUS						7	10	11
ANDE						11	14	18
WS							12	14
CNR							12	12
LRN							14	34
ALG							12	27
HRMY								22
Put in	100	300	500	700	900	1,100	1,300	1,400
Sold	0	10	69	94	117	152	194	279
Total	100	357	743	845	1,487	1,696	2,075	2,504

D Testing the weighting

Table 14: Each rule's weight w_r on the picks' dates (overall, for the picks that beat the S&P SmallCap 600 and for the others), the dollar-weighted mean points, the gap and the rank correlation with the return a year above the S&P SmallCap 600.

Rule	w_r	w_r beat	w_r not	Pts beat	Pts not	Gap	Corr.
NN	1.00	1.00	1.00	3.54	3.29	+0.25	+0.05
B1	0.91	0.91	0.90	2.51	3.11	-0.60	+0.01
G6	0.80	0.80	0.80	2.93	4.20	-1.26	-0.13
G7	0.70	0.70	0.71	4.20	4.27	-0.07	+0.03
G5	0.63	0.64	0.63	2.78	3.86	-1.09	-0.12
G2b	0.61	0.60	0.61	4.01	4.49	-0.48	-0.08
E2	0.57	0.56	0.58	4.01	4.49	-0.48	-0.08
E4	0.51	0.50	0.51	4.19	3.37	+0.82	-0.01
G2a	0.47	0.47	0.48	3.08	3.77	-0.69	-0.21
E1	0.29	0.28	0.29	3.08	3.77	-0.69	-0.21

Each rule's points are multiplied by its weight, one less the share of companies passing it on the date, so a rule few companies pass counts more. A good weighting gives most weight to the rules whose points went with better returns. Table 14 sets each rule's mean weight on the dates the picks were made against two measures of how well it told the 140 picks apart: the gap between the mean points of the picks that beat the S&P SmallCap 600 and of those that did not, weighted by dollars as in Figure 4, and the rank correlation of the rule's points with each pick's return a year above the S&P SmallCap 600. Figure 9 plots weight against gap; a good weighting puts its rules on a rising line, with the heavy rules above zero.

Across the rules, the rank correlation of weight and gap is +0.09, and of weight and correlation +0.68.

The weighting is unrelated to which rules worked. Weighted heavily but with a negative gap: 6-year earnings growth (G5), P/E (G6), P/E times P/B (G7) and return on equity (B1). A positive gap but a light weight: current dividend (E4). Any change to the weights must be tested on years it was not fitted on.

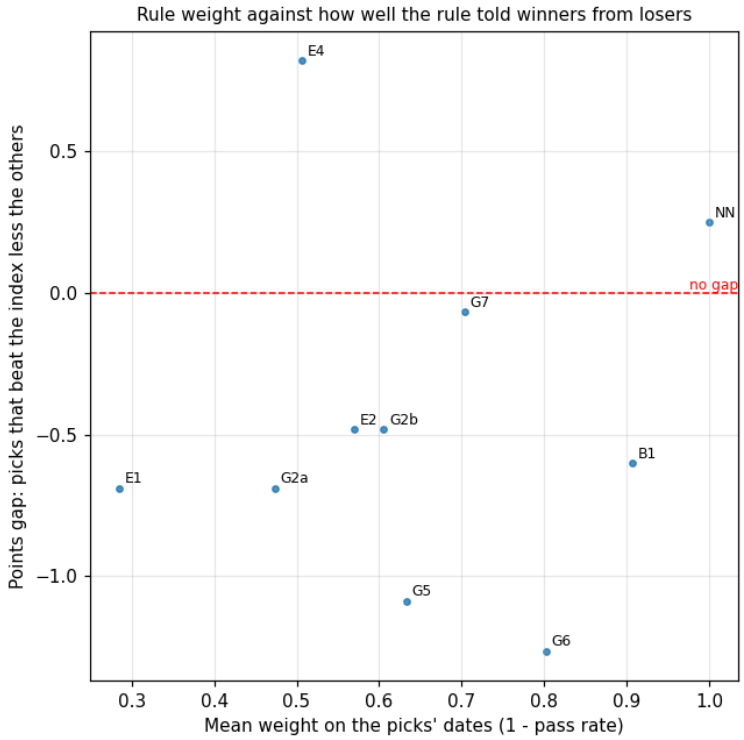


Figure 9: Each rule's mean weight against the gap in points between the picks that beat the S&P SmallCap 600 and the others, weighted by dollars; rules above the line told winners from losers.

E Forward information

Table 15: Truncation check: companies scored on the date, companies whose score differs when every input is cut at the date (per score), and whether the picks are the same.

Date	Companies	Score	Score 0 to 1	Unweighted	Share passed	Same picks
2018-12-21	0	0	0	0	0	yes
2022-12-16	227	0	0	0	0	yes
2025-12-19	367	0	0	0	0	yes

A score must use only what was known on its date. Four guards are built in. A company's figures count from the day its annual report was filed with the SEC, and of all the figures filed for a year only the first reported is used, never a later restatement. Prices are the close on the scoring date and dividends are counted by their ex-date. Each January and July purchase uses the scores of the rebalance date two weeks before it. Rule weights come from the companies on the date alone.

These guards are tested by cutting every input at a date as if it were that day (filings filed on or before it, prices and dividends up to it), scoring the companies again and comparing the scores with the full run (Table 15). Any difference means information from after the date reached a score. On 21 December 2018, 16 December 2022 and 19 December 2025 the picks were the same, and the scores were identical on 21 December 2018, 16 December 2022 and 19 December 2025. The same check runs as a unit test. A rule whose window reaches back further than a company's price history (a long dividend record of a younger company) is not evaluated rather than failed.

Three sources of forward information are outside this test. Only today's S&P SmallCap 600 members are scored. The index's list gives no entry dates: a company counts from its latest addition in the list of changes, or from the start of that list (December 2019) when no addition is listed. The list holds selected changes only, so some companies count before they joined: a look-ahead that flatters the results. Companies that later left the index are missing, which flatters every result. Sectors are

today's, used to leave out Financials and Real Estate in earlier years. And the score's design and settings were chosen while looking at 2009 to 2026, so no period tests it fairly: 2022 onwards, once meant as a held-out test, was used to choose between models.

E.1 Companies missing from the data

Table 16: Companies that left the S&P SmallCap 600 since each start year, all missing from the data: in all, on their market value, and through an acquisition or another reason.

Start	Left the index	On market value	Acquired or other
2016	491	21	470
2020	487	21	466
2023	318	17	301
2025	147	0	147

Table 16 counts the companies that left the S&P SmallCap 600 after each start year; none of them is in the data, of any sector. Most left through an acquisition, often at a premium; those that dropped out on their market value are the likely losers a real investor could have picked. The later the start, the fewer are missing, which is why the investor who started in 2020 is the reference of this report. The count starts with the index's list of changes, which begins in December 2019: removals before that are not counted, so for earlier start years it understates the gap. The bias is removed only when the historical members of the index are added to the data.

F The rules

Table 17: The rules: what each measures, the better direction and when a company passes.

Rule	Name	What it measures	Better	Passes when
G2a	current ratio	Current assets divided by current liabilities: what the company owns against what it owes within a year.	higher	at least 2.0
G2b	debt to working capital	Long-term debt divided by net current assets (current assets less current liabilities).	lower	at most 1.0
G5	6-year earnings growth	Average earnings per share of the last 3 years over the average of the 3 years before them, within a window of 6 years.	higher	at least 1.33 times the earlier average
G6	P/E	Price over the average earnings per share of the last 3 years.	lower	at most 15.0
G7	P/E times P/B	P/E as in G6 times the price over book value per share.	lower	P/B at most 1.5, or the product at most 22.5
E1	current ratio (lenient)	Current ratio, as G2a.	higher	at least 1.5
E2	debt to working capital (lenient)	Long-term debt over net current assets, as G2b.	lower	at most 1.1
E4	current dividend	Dividends paid over the last 365 days, as a yield on the price.	higher	any dividend
NN	net-net	Market value over net current asset value (current assets less all liabilities).	lower	at most 0.67
B1	return on equity	Number of the last 3 years with return on equity (net income over equity) of at least 15%.	higher	at least 2 of those years, and long-term debt at most 0.5 times equity

Table 17 explains each rule: what it measures, whether a higher or a lower value earns more points, and when a company passes it. The points come from the company's rank on the measure among all companies on the date; the pass threshold sets the rule's weight. Rules G follow Graham's defensive investor (The Intelligent Investor, chapter 14), rules E his enterprising investor (chapter 15) and his net-net test (NN), B1 Buffett's return on equity, and NI1 was added for net income growth. Two pairs test the same measure at different strictness (G2a and E1, G2b and E2), so the current ratio and debt count twice.